

PARTNERSHIPS

Law

Partnership Act, 2010

Text Books

Partnership Law in Uganda – Bakibinga

Commentaries and Cases on the Law of Business Organization –
Allen and Kraakman

Partnership Law – Geoffrey Morse

INTRODUCTION

1.0 Organizational Law

Commercial law is broadly concerned with facilitating voluntary economic relations. Various sub-sets of commercial law underpin these relations and govern various transactions including contract, sale of goods, banking, intellectual property among others. In addition, there are a set of laws that govern the way economic activities/relations are organized i.e enterprise organization and these include partnership, agency and company law. These can broadly be referred to as organizational law and their principal purpose is to provide a standard set of legal relations with and within the enterprise.

1.1 Partnerships and other forms of enterprise organization

Partnerships are one of the various forms of business organizations/associations i.e:

- Sole Proprietorships;
- Partnerships;
- Companies (public & private);
- Cooperative Societies;

“A partnership is the simplest form of jointly owned business firm- a form of business relation that has a temporal dimension and a social identity. Partnerships are usually simple joint

enterprises of individual partners, subject to dissolution at the whim of any partner in the absence of any



contrary agreement. By contrast, the corporate form is the most stable, complex and socially important business organization.”¹

A significant difference between Partnerships and other business organizations relates to the nature of the entity and the liability of the parties. In particular, in comparison to a company, a partnership is not an entity that is separate from the owners i.e has no legal personality and neither do the partners enjoy limited liability (except for limited partnerships and limited liability partnerships).

“When individuals carry out a common enterprise as partners, a threshold legal question is whether the partnership is a legal entity. The historical common law position has always been that a partnership is not a legal entity but a convenient name for an aggregate of individuals, and the rights and duties recognized and imposed by law are those of the individual partners.”

1.2 History of Partnership Law

A partnership is generally defined as **“an association of two or more persons carrying on business with a view of profit...whether or not the persons intend to form a partnership.** This definition dates back to the 1890 Partnership Act of England.

However, partnerships as a form of business enterprise date back to 2300 BC and relations between partners were governed by the Hamurabi Code, Roman Law and the Law of Merchant.

Codification of the law partnerships dates back to the 19th century when England codified the common law and principles of equity relating to partnerships and enacted the 1890 Partnership Act. This was followed by the limited partnership Act of 1907 that was enacted to allow for a person to be a partner in a firm but liable only to the extent of the capital he had Invested. However, the privilege of limited liability would be lost if the limited partner involved himself in the management of the firm. The United Kingdom took a little longer and enacted the Uniform Partnership Act in 1914 and the Uniform Limited Partnership Act of 1916.

At the end of the 20th century, faced by large negligence claims, professional firms that operated as partnerships pushed for the enactment of the Limited Liability Partnerships Act which allowed for the formation of limited liability partnerships.

The partnership is a fundamental form of business/commercial organization. Historically, the partnership predated the registered limited company as a means for uniting the capital of separate individuals and it was of the utmost

¹ Allen and Kraakman, Commentaries and Cases on the Law of Business Organization, 1. Aspen Publishers, 2003.



importance in financing the Industrial Revolution in the UK in the 18th and 19th centuries. As an economic form, the partnership is still important. However, since the last quarter of the 19th century, as unlimited partnerships have transformed themselves into private limited companies, partnership law has given way to the control of company law as a form of legal regulation. It could be argued that, nowadays, the important partnership cases take place in the Companies Court. The continued relevance of partnership law should not be underestimated, however, since it remains the essential form of organization within the sphere of such professional activities as the law, accountancy and medicine, where there is no wish, or need, for limited liability. The situation has been further complicated by the availability of the new legal form of the incorporated and limited partnership under the Limited Liability Partnership Act 2000.

The concept of limited liability partnerships has long existed in other jurisdictions such as the UK and the US. However, In Uganda, it was only after the enactment of the 2010 Partnership Act that a limited liability partnership was introduced.

The law governing partnerships in Uganda is the Partnership Act of 2010. The Act replaced cap 114 and provides for:

- Nature of a Partnership;
- Relations of partners to persons dealing with them;
- Relations of partners to one another;
- Dissolution of a partnership;
- Limited liability partnerships

1.3 Why form a Partnership?

The general partnership is the earliest and simplest form of a jointly owned enterprise. The law of partnerships closely follows agency law e.g each partner binds the partnership when acting in the usual course of business. One of the key distinctions between a partnership and an agency relates to property ownership. A partnership can own property.

There are various reasons as to why economic relations may be organized through partnerships e.g:

- To raise capital;
- To bring together skills (e.g professional firms);
- To minimize the costs and uncertainties of unilateral transactions;
- To manage and organize investments (limited partnerships);
- Risk sharing.

SIKIA
Low

2.0 DEFINING A PARTNERSHIP

Section 2(1) of the Partnership Act

....a partnership is the relationship which subsists between or among persons, not exceeding twenty in number, who carry on a business in common with a view to making profit.

Key elements of the definition:

- a) *Relationship;*
- b) *carrying on a business in common;*
- c) *with a view of profit; and*
- d) *limit on the numbers*

2.1 Relationship

Economic activity may be carried out through a sole proprietorship or other entities where a relationship need not be established e.g a single member company or even an ordinary company. The element of relationship is critical to the characterization of a partnership. A partnership is a relationship. It is not an organization in its own right with a separate legal personality. When one refers to a partnership, it is simply a relationship which if established governs the rights and duties between the parties and their relationship with those transacting with the parties.

“A partnership exists when two or more people have agreed (association implies consensual agreement) expressly or tacitly to share in the profits and the control of a business- that is a rough imprecise rule of thumb of the definition of a partnership.”²

2.2 Carrying on a business

Sharing profits per se does not create a partnership relationship and neither does joint ownership of a property and sharing revenues. On the other hand, the fact that one is a silent partner does not negate the existence of a partnership. Section 1(a) of the Partnership Act defines ‘business’ to include trade, occupation or profession”.

The definition of the term business is very wide and will capture most

commercial initiatives and this would mean that in order for there to be a partnership, there must be a commercial element such as the selling of goods or the supply of services.

Does working together or a social relationship constitute a partnership?

² Klein and Coffee, Business Organization and Finance, 62. Foundation press, 2004.



Palter V Zeller (1997) 30 OR (3d) 796,

The defendant, Zeller, had set up a law practice and after his marriage to the second defendant, Lieberman, she joined him in practice. This fact was advertised by an announcement which was published by Zeller to the effect that Lieberman had “joined me in the practice of law”. There was no indication given in the firm’s stationery or business cards that they were partners. The plaintiffs had been friendly with Lieberman before she met Zeller and arising out of this friendship they instructed Zeller on a number of occasions. After Lieberman joined the practice, the plaintiffs entrusted their savings to Zeller and signed blank documents in connection with the use of the funds. When Zeller dissipated this money, the plaintiffs sought to make Lieberman jointly liable with Zeller for the loss on the grounds that either she was Zeller’s partner or that she had allowed herself to be held out as his partner. The plaintiffs’ sought to support their claim that the husband and wife were partners as a matter of law by the fact that the plaintiffs had a social relationship with both defendants and it was clear from this relationship that the defendants were partners in everything they did, in the sense that they treated each other as equals.

The issues before court were

- (1) whether a partnership existed between Zeller and Lieberman?
- (2) whether Lieberman held out as partner of Zeller?

Wilkins J rejected the assertion of existence of a partnership and found that not even a scintilla of evidence to support a finding of a partnership between the defendants. He noted that, although the plaintiffs presumed that the defendants were partners, the mere fact that lawyers may be married and behave in an equal social and marital relationship has no impact upon the question of whether they are partners as a matter of law. He held that what is important to this issue is how **they conduct their business affairs together**, not how they conduct their personal affairs.

The plaintiffs’ second claim was that even if Lieberman was not a partner as a matter of law, she allowed herself to be held out as a partner in the firm and therefore should be liable since the plaintiffs had relied on this fact. Again the plaintiffs supported their claim of a holding out by the fact that the defendants treated each other as equals in everything they did. The plaintiffs alleged that they had relied on this holding out of partnership by virtue of the fact that they would not have entrusted all of their savings to Zeller and signed blank documents for him, were it not for his relationship with Lieberman, since this relationship gave Zeller a credibility in their eyes. Again, **Wilkins J**

rejected this claim, finding that the plaintiffs belief that the defendants were partners was ill-founded since the defendant's social activities were not sufficient to constitute a holding out by Lieberman of herself as a partner. He concluded that since Lieberman was Zeller's employee as a matter of law, she was not liable as a partner by holding out and the case should proceed against Zeller alone.

What amounts to carrying on business? Intention? Preparatory work?



Case law shows carrying on a business entails going beyond the preparatory stages of setting up the venture and actually doing the business. Thus, persons who are just preparing, or who have merely agreed to carry on a business as partners are not partners unless they go beyond the preparatory stages and actually start to do that business. A partnership is not created by a mere intention to do business together but by an intention which is manifested practically. There will be no partnership simply because there is an agreement to carry on business. There must be a business in existence arising from this agreement.

Henshaw v Roberts 1967 (1) ALR Comm. 5

The plaintiff formed a business syndicate and each of the three partners paid an amount to a central fund as account of management expenses. There was also an agreement to form a partnership within a limited time. The partnership was never formed as agreed. On whether or not there was a partnership, it was held that "the existence of a partnership depends on carrying on business in partnership and not on the agreement to form a partnership...if the parties have begun to carry on business (though prematurely), they will be regarded as partners."

Miah & Others v Khan & Another [2001] 1 All ER 20

In May 1993 the first respondent was the head waiter and the second respondent was the chef at an Indian restaurant in Barton. They wanted to open a restaurant of their own in Newbury to be called "The Nawab." They were not in a position to put up any significant amount of money themselves, and accordingly they approached the appellant, who was known to have some capital, with a view to interesting him in the venture. It was agreed that they would be partners in the business, that the appellant would provide most of the initial capital, and that the first respondent would manage the restaurant, the second respondent would be the chef, and the appellant's brother Surab Khan, who was a chef at another Indian restaurant in Milton Keynes, would be the second chef (employee). The third respondent, who was the proprietor of an Indian restaurant in Radlett, was brought in later in order to provide the business experience and financial standing which an intending landlord required. He was described by the parties as "a sleeping partner". The judge found that the appellant was to have a 50 per cent. share in the business with the other 50 per cent. being shared between the three respondents.

By 1 December 1993 the parties had found suitable premises (an unused gas showroom), obtained planning permission for its conversion to a restaurant, taken a lease of the premises and agreed to buy the freehold reversion, opened a partnership bank account in the names of the appellant and the third

respondent, arranged to borrow up to £60,000 from the bank towards the purchase of the freehold, commissioned a design, entered into a contract with a firm of builders for the conversion and fitting out of the premises as a restaurant, and contracted for the purchase of equipment and table linen. With the exception of some small sums paid in by his brother Surab Khan, all the moneys in the partnership bank account were provided by the appellant. The account was used solely to make payments to the builders or for other works and services obtained in preparation for the opening of the restaurant.



The parties spent some £51,000 on the venture. It is common ground that the whole of this expenditure was incurred in the course of the venture and with the agreement and authority of all four parties.

The restaurant opened for business on 14 February 1994 and they carried on the business on their own account and without any settling of accounts with the appellant hence the suit. The trial judge granted a declaration that there was a partnership in the business of the restaurant between the parties and that the appellant was entitled to a 50% share therein. He ordered the necessary partnership accounts and inquiries to be taken. These showed a substantial balance in favour of the appellant, who had borne some 70% of the expenditure which had been laid out in the course of the venture. The judge granted a declaration that the freehold and leasehold interests in the premises were property of the partnership and gave directions for the sale of the premises and the distribution of the proceeds.

The question on appeal to the House of Lords was whether the parties ever carried on business in partnership together. The trial judge had found that they did but the court of appeal held that while the parties agreed to become partners in the business of an Indian restaurant, they never actually did so.

Lord Millet of the House of Lords found that the majority of the Court of Appeal were guilty of nominalism. They thought that it was necessary, not merely to identify the joint venture into which the parties had agreed to enter, but to give it a particular description, and then to decide whether the parties had commenced to carry on a business of that description. They described the business which the parties agreed to carry on together as the business of a restaurant, meaning the preparation and serving of meals to customers, and asked themselves whether the restaurant had commenced trading by the relevant date. But this was an impossibly narrow view of the enterprise on which the parties agreed to embark. They did not intend to become partners in an existing business. They did not agree merely to take over and run a restaurant. They agreed to find suitable premises, fit them out as a restaurant and run the restaurant once they had set it up. The acquisition, conversion and fitting out of the premises and the purchase of furniture and equipment were all part of the joint venture, were undertaken with a view of ultimate profit, and formed part of the business which the parties agreed to carry on in partnership together.

There is no rule of law that the parties to a joint venture do not become partners until actual trading commences. **The rule is that persons who agree to carry on a business activity as a joint venture do not become partners**

until they actually embark on the activity in question. It is necessary to identify the venture in order to decide whether the parties have actually embarked upon it, but it is not necessary to attach any particular name to it. Many businesses require a great deal of expenditure to be incurred before trading commences. The work of finding, acquiring and fitting out a shop or restaurant begins long before the premises are open for business and the first customers walk through the door. Such work is undertaken with a view of profit, and may be undertaken as well by partners as by a sole trader.



Does an isolated/ single action amount to carrying on business?

The task of determining what is meant by the phrase 'carrying on business' has raised the issue of whether there is a need to establish some repetitiveness of action, as opposed to isolated action taken by parties. A number of early decisions emphasized the need for continuity or repetition.

***Smith v Anderson* (1880) 15 Ch D 247**

A group of investors subscribed for the purchase of shares through a trust in various submarine cable companies. The shares were sold to these investors by the trustees of the trust who then issued certificates to the subscribers. A £100 certificate was issued for each £90 certificate that was subscribed. Smith, along with more than 20 other people, received a certificate. Later, Smith applied to wind up the trust on the basis that it was an illegal association under s 4 of the English *Companies Act* 1862.

The question was whether the trust was a partnership. The court looked at the nature of the trust and of the relationship of those involved in it. Although each holder of a certificate could elect trustees of the trust and received a trust report, and the elected trustees had certain management powers, including the power to sell the shares and to reinvest or distribute the proceeds, it was noted there were no mutual rights and obligations amongst those involved. In these circumstances, the court held that the trust was not a partnership as there was no association for the purpose of 'carrying on a business.'

According to **Brett LJ**, the expression 'carrying on' implies a repetition of acts and excludes the case of an association formed for doing one particular act which is never to be repeated. That series of acts is to be a series of acts which constitute a business. The association, then, must be formed in order to carry on a series of acts having the acquisition of gain for their object. carrying on a business, then it is a first transaction in an existing business.

However, Section 34(1) (b) of the Partnership Act envisages the existence of a partnership for a single venture or undertaking.

- 34(1) Subject to any agreement between or among the partners, a partnership is dissolved—
 - (b) if entered into for a single adventure or undertaking, by the termination of that adventure or undertaking;

Although the section deals with dissolution rather than formation of a partnership, it is conceivable that by envisaging the dissolution of a partnership for a single venture or undertaking, the Partnership Act impliedly acknowledges the validity of a partnership of a single venture or undertaking. Therefore, a single venture or undertaking depending on its scope may amount to carrying on of a business. The emphasis which may be placed



upon repetition and continuity of acts as opposed to an isolated transaction may not be critical in determining whether the parties are carrying on a business. When the parties have gone beyond the preparatory stages and started to do the business they have agreed to engage in, the aspect of "carrying on a business" is fulfilled.

Later cases acknowledged the validity of single venture partnerships. See *Trimble v Goldberg* [1906] AC 494, *Elkin & Co Pty Ltd v Specialised Television Installations Pty Ltd* [1961] SR (NSW) 165 and *Playfair Development Corporation Pty Ltd v Ryan* (1969) 90 WN (NSW) 504; *Ojemen v Okoafuda* 1977 N.C.L.R.192.

2.3 Carrying on a business in Common

To satisfy this element, the business must be carried on by or on behalf all the partners. All the partners need not take an active role. In ***Lang v James Morrison & Co Ltd (1912) 13 CLR 1***, **Griffiths CJ** held that in order to establish that there was a partnership it is necessary to prove that the appellant carried on the business on behalf of himself and his two colleagues, in this sense, that he was their agent in what he did under the contract with the plaintiffs.

2.4 With a view of profit

The third element of the definition of a partnership confines partnerships to associations formed for making profit. This can be contrasted with clubs and societies formed for promotion of religious or, social, educational or recreational activities and which are not run in order to create profit for individual members.

It is not necessary that a profit must actually be made for a partnership to exist. In ***Khan & Ors v Miah & Ors*, [2001] 1 All ER 20** the court observed that it is not essential for there to have been any profit or actual monies received, since the carrying on of a business need only to be "with a view to profit". Therefore, even a business which ceases before profits are made could still be held to have been a partnership during the time it subsisted.

Francis Sembuya v All Port Services (U) Ltd SCCA no. 6 of 1999 – court found the existence of a “particular partnership” between the appellants for purposes of buying cement, reselling it and distributing the profits amongst themselves.

2.5 Number of people in a partnership

Section 2(1) limits the number of people in a partnership to 20.

Section 2(2) provides a maximum number of 50 for partnerships formed for purposes of carrying on a profession.



Rationale for the maximum limits? And for differentiating between professional and other partnerships?

2.6 Determining the existence of a partnership

Section 3 of the Partnership Act provides criteria for determining the existence of a partnership. The section provides circumstances that may lead to the inference of existence of a partnership but do not necessarily create a partnership. However, all the rules in this Section are very negative in tone and they do not specifically state when a partnership exists but rather state when a partnership cannot be said to exist.

Rule 1: co-ownership

Section 3(a)

Joint tenancy, tenancy in common, joint property, or part ownership does not of itself create a partnership as to anything so held or owned, whether the tenants or owners do or do not share any profits made by the use thereof.

This rule makes it clear that holding property jointly as co-owners will not of itself create a partnership. The simple illustration to explain this is that if a husband and wife jointly own a house or two people rent a flat. This alone will not create a partnership between them.

In ***Davis v Davis* [1894] 1 Ch 393**, a father (Edward Davis) died leaving three adjoining houses and a manufacturing business conducted in two of the houses to his sons. They took over and continued running the business and continued leasing the third house to its existing tenant. When one of the sons died, to resolve his estate, it was necessary to determine whether they carried on business in partnership and whether the houses were assets of the partnership or their private property as tenants in common. The brothers borrowed money on the security of the houses and drew identical weekly expenses from the business.

Held: The fact that the brothers had inherited the houses and the business did not of itself create a partnership between them. However, by carrying on the business in common with a view of profit, from the time of their father's death to the death of one of them, they had become partners in the business.

Rule 2: Sharing of gross returns

Section 3(b)

The sharing of gross returns does not of itself create a partnership, whether the persons sharing such returns have or have not a joint or common right or interest in any property from which or from the use of which the returns are derived.



The above rule tells us that sharing of gross returns is not sufficient to prove the existence of a partnership. This rule is illustrated by the case of ***Cox v Coulson [1916] 2 KB 177*** where Coulson entered into an agreement with Mill to stage a play in a theater and share the gross proceeds. Coulson was to hire the theater and pay for expenses related to hiring it and receive 60% of the gross proceeds. Mills was to hire the actors and pay for their travelling and other expenses. It was possible that one of them could make a profit and another a loss. During the performance, a member of the audience was injured by one of the actors, and she sought to recover damages from Coulson on the grounds that Coulson and Mill were partners, and so jointly and severally liable for her injuries. The court held that there was no partnership between Coulson and Mill, and that this was merely an arrangement to share gross returns.

Rule 3: Profit and loss sharing

Section 3(c) of the Partnership Act provides:

The receipt by a person of a share of the profits of a business is *prima facie* evidence that he is a partner in the business, but the receipt of such a share, or of a payment contingent on, or varying with the profits of a business, does not of itself make him a partner in the business...;

Commenting on this provision, **North J** stated in ***Davis V. Davis [1894] 1 Ch.D 393*** “although the language in this clause appears somewhat conflicting, the true meaning of the clause is that the receipt by a person of a share of the profits of a business is *prima facie* evidence that he is a partner in it and if the matter were to rest there, it would be evidence upon which the court must find the existence of a partnership. But if there are other relevant circumstances to be considered, they ought to be considered fairly together without attaching undue weight to any of them but drawing an inference from the whole. It would therefore appear that the import of paragraph (c) is that sharing of profits without more implies partnership but if it is only one of several facts, then all the facts must be evaluated together and no specific weight is to be given to the fact of profit sharing.”

In ***Badeley v Consolidated Bank (1888) 38 Ch D 238***, a lender (plaintiff) advanced money to a borrower and took security over certain plant owned by the borrower. In addition, the lender was to receive interest and a share of the net profits. The borrower agreed to apply the loan moneys to the carrying out of work associated with his business and the lender had a right to enter the property if the borrower became bankrupt. The Court of Appeal stressed the need to ascertain the ‘real agreement’ between the parties. Sharing of profit is

not enough, the court said, to infer a partnership. The formal document signed by the parties expressed the real truth, namely, that this was a loan transaction. There was no participation in loss on the part of the lender.

The above rule in 3(c) is the general rule. Section 3(c) (i) – (v) of the Partnership Act provides the five instances where the presumption of a partnership does not arise. These are:-



- (i) Receipt by a person of a debt or other liquidated demand by installments or otherwise out of the accruing profits of a business does not of itself make him a partner in the business or liable as such.

The exception in the above subsection allows partners to pay off a creditor from the profits of a partnership without the creditor becoming a partner.

In **Cox v Hickman (1860) 8 HL Cas 286**, B and J Smith traded in partnership under the name 'Stanton Iron Company' and encountered financial difficulties. A deed of arrangement with creditors was entered into, whereby their business and partnership property was assigned to trustees. The trustees were empowered to carry on the business under a new name and future income was to be divided rateably between all the creditors. As part of the arrangement, it was provided that, if the creditors were paid off, the business was to be returned to the Smiths. Cox and Wheatcroft were two of the creditors who were appointed as trustees; however, Cox never acted as a trustee, and Wheatcroft did so for a very short time. After Wheatcroft had ceased to act, the remaining trustees incurred debts to Hickman, and they gave him certain bills of exchange drawn on the partnership. Hickman sought to make both Cox and Wheatcroft liable on these bills. In holding that the creditors did not become partners by receiving payments from the profits of the partnership to clear their debts, Wightman J at (HL Cas) 296 said that:

"It is said that a person who shares in net profits is a partner; that may be so in some cases, but not in all; and it may be material to consider in what sense the words, 'sharing in the profits' are used. In the present case, I greatly doubt whether the creditor, who merely obtains payment of a debt incurred in the business by being paid the exact amount of his debt, and no more, out of the profits of the business, can be said to share the profits..., would a creditor, by receiving from time to time a rateable proportion out of the net profits, become a partner? I should think not".

However, if there are circumstances show that the relationship is in fact a partnership, the creditor may be regarded as a partner regardless of the stated intentions of the parties

- (ii) A contract for the remuneration of a servant or agent of a person engaged in a business by a share of the profits of the business does not of itself make the servant or agent a partner in the business or liable as such.

The exception to the general rule allows the partners to pay agents of a

partnership by way of a share of profit. It also allows the partnership to run a profit sharing bonus for employees without those employees becoming partners.

In **Walker v Hirsch (1884) 27 Ch D 460**, Walker had been a clerk to the defendant's firm when he and the firm's proprietors entered into an agreement for Walker to be paid a fixed salary in addition to the right to participate in one eighth of profits and losses. Walker further agreed to deposit £1500 in the business while the agreement continued,



receiving 5% per annum interest. The firm's name was not altered, nor was Walker mentioned in firm circulars or bills. Furthermore, Walker was not introduced to customers as a partner, did not sign bills of exchange, and signed letters and receipts 'Walker for [the firm]'. In 1884 the defendant being dissatisfied with his work, gave him notice of termination and excluded him from the office. Walker sought to wind up the business, sought an injunction restraining dealings with the businesses assets, and sought the appointment of a receiver and manager. The trial judge, **Lindley LJ**, refused the injunction and appointment of a receiver. He focused upon Walker's lack of ability to control the defendant in the management of the business and regarded Walker as a servant 'not in the position of a partner having an equal voice or control in the management of the concern.'

In **Stekel v Ellice [1973] 1 WLR 191**, the defendant employed the plaintiff in his accounting firm in 1967. In October 1968 an agreement was entered into between the two men with the plaintiff becoming a 'salaried partner' earning a salary. The period of employment was to expire in April 1969. The capital of the partnership was expressed in the agreement as belonging to the defendant and the defendant would bear all the losses, except that the plaintiff would be entitled to his own furniture and to clients introduced by him. Further, the agreement:

- provided for the keeping of books of account;
- called for full-time service;
- restrained either 'partner' from being engaged in other business;
- dealt with the giving of securities on account of the firm;
- provided for notice of dissolution for breach;
- gave the defendant rights to the profit, apart from the plaintiff's salary and rights to the capital;
- provided that, in the event of the defendant's death, the practice was to belong to the plaintiff together with (the defendant's estate being paid) the capital and sums for profits and work in progress; and
- contained a provision for resolution of disputes by an independent expert.

The agreement also contemplated that a further agreement would be entered into before April 1969, under which the plaintiff would become a full partner. However, that later agreement was never entered into, and the parties continued after that date as before, until August 1970 when relations broke down resulting in the plaintiff leaving the business and taking his clients with him. The plaintiff then claimed a declaration that the 'partnership' was dissolved and an order that it be wound up.

The question was whether the arrangement between the parties constituted an agreement for employment or an agreement for partnership. The court found that there was a partnership for a fixed term and that this continued without any express new agreement.

Megarry J held,

The term 'salaried partner' is...to some extent...a contradiction in terms. However, it is a convenient expression which is widely used to denote a person who is held out to the



world as being a partner, with his name appearing as partner on the notepaper of the firm and so on. At the same time, he receives a salary as remuneration, rather than a share of the profits, though he may, in addition to his salary, receive some bonus or other sum of money dependent upon the profits. To the outside world it often will matter little whether a man is a full partner or a salaried partner; for a salaried partner is held out as being a partner, and the partners will be liable for his acts accordingly. But within the partnership it may be important to know whether a salaried partner is truly to be classified as a mere employee, or as a partner. ...What must be done...is to look at the substance of the relationship between the parties.

In the judge's opinion, the relationship between the parties satisfied the definition of a partnership contained in the Partnership Act. The fact that there was no sharing of profits did not mean that this negated other evidence of a partnership. Further, the conduct of the parties indicated a partnership which was determined in August 1970.

- (iii) A person being the widow or child of a deceased partner, and receiving by way of annuity a portion of the profits made in the business in which the deceased person was a partner, is not by reason only of such receipt a partner in the business or liable as such.

The above exception allows partners to pay annuity to a widow or child of a deceased partner without that widow or child becoming a partner.

In **Commissioners of Inland Revenue v Lebus [1946] 1 All ER 476**, the Commissioners attempted to recover income tax on the amounts which were due under a will to a widow of a partner. The court found that a beneficiary under a will would only have to pay tax on the amounts which were paid to her during the years of assessment. The widow did not have to pay tax on a share of the profits earned by the business.

- (iv) The advance of money by way of loan to a person engaged in or about to engage in any business or a contract with that person, that the lender shall receive a rate of interest varying with the profits, or shall receive a share of the profits arising from carrying on the business, does not of itself make the lender a partner with the person or persons carrying on the business or liable as such: if the contract is in writing, and signed by or on behalf of all the parties to it.

This provision protects a creditor who has advanced money to the partnership

to be paid by a share of the profits. If the contract by which the money has been advanced by the creditor is in writing and signed by or on behalf of all the parties to it then the person who has advanced money does not become a partner merely because he is receiving a share in the profits of the partnership.

In **Re Megevand; Ex. parte Delhasse (1878) 7 Ch D 511**, Delhasse agreed to advance money to a partnership of two persons. The conditions of the advance referred to the equivalent of this subsection of the Partnership Act and stressed that the advance was a



loan only and did not make the lender a partner. However, provision was made for Delhasse to share in the profits, have a right to inspect the accounts, the option of dissolving the partnership in specified circumstances. Further, the advance was not to be repayable until after dissolution and it represented all the business capital.

The Court of Appeal held that this arrangement constituted a partnership. According to James LJ at 526:

"If ever there was a case of partnership this is it. There is every element of partnership in it. There is the right to control the property, the right to receive profits, and the liability to share in losses.

But it is said that there are other provisions in the contract which prevent its having this operation, and which show clearly that the parties meant the relation of lender and borrower, and not the relation of partners, to subsist between them. And for this purpose reliance is placed on the recital of...the agreement for a loan...and the declaration...that the 'advance does not and shall not be considered to render Delhasse a partner in the business'. Can those words really control the rest of the agreement? Do they really show that the intention was not in truth that which it appears to be by all the other stipulations? To my mind it is clear that they do not. When you come to look at all the other stipulations, they are utterly inconsistent with the notion of a loan by the one to the two, so as to make the two personally liable in respect of it in any event or under any circumstances whatever. The loan is said to be made to the two, but, when you read the whole of the agreement together, it is impossible not to see that it was not a loan to the two upon their personal responsibility by the person who is said to be the lender but that it was a loan to the business which was carried on by the two for the benefit of themselves and him, and was to be repaid out of the business, and out of the business only, except in the case of loss, when the loss would have to be borne by the three in the proportions mentioned in the agreement. The use of the word 'lend', and the reference to the Act, are, in my opinion, mere sham - a mere contrivance to evade the law of partnership".

Thus, if the creditor satisfies the court that he fits within the provisions of this section, he will not be regarded as a partner.

- (v) A person receiving by way of annuity or otherwise a portion of the profits of a business in consideration of the sale by him of the goodwill of the business is not by reason only of such receipt a partner in the business or liable as such.

This rule was considered in the case of **Hawksley v Outram (1892) 3 Ch.D 359**. In that case, *four* people carried on business in partnership. They entered

into an agreement to sell this business to Hawksley as a going concern, by which Hawksley was to discharge the existing debts of the business and that, if the debts did not exceed a certain amount, the vendors would be entitled to a share of the profits as the consideration for sale of the business. The agreement was signed by one partner on his own behalf and also as



attorney for the other partner. However, the power of attorney under which the said partner had signed the agreement on behalf of the other did not empower him to enter into a partnership agreement. In a suit by Hawksley against all the vendors for specific performance of the agreement, court had to determine whether the arrangements between Hawksley and the vendors constituted a partnership agreement between the four original partners and Hawksley by reason of the entitlement to a share of profit after the discharge of the debts. **Lord Lindley** at 371 had this to say:

"It has been contended that this is an agreement for a partnership; but it is nothing of the sort. It is evidently nothing more or less than an agreement for the sale of the property and the business as a going concern for a sum of money a portion of which is undetermined and has to be ascertained, and which portion until paid is to carry a share of the profits".

Thus, this rule means that where a person sells a business and then continues to receive an income based upon a percentage of the profits in portions meant to recover the full consideration, he or she will not for that reason alone be regarded as having continued to be a partner with the purchaser of the business.

2.7 Relations not considered Partnerships

Section 2(2) of the Partnership Act excludes relationship between persons:

- a) who are members of a company or association registered under the Companies Act;
- b) who associate only for the purpose of formation of a company which has not yet been formed.

2.8 Registration of a Partnership

Section 4 of the Act makes it mandatory to register a partnership where it carries on business under a business name.

3.0 THE NATURE OF A PARTNERSHIP

3.1 A Partnership as a collective entity

Although a partnership is not a legal entity, the law gives it collective entity status. The partnership Act allows people who come together in a partnership to collectively exist as a firm. In addition, section 4 requires partnership firms that carry on business under a business name to register the business name. The civil procedure rules also permit a partnership to sue or be sued in its names.

“firm” means persons who have entered into a partnership with one another

Sadler v Whiteman [1910] 1 K.B 868 at 889

It was held... “Thus, in English law a partnership is not an entity separate and distinct from the partners that compose it and the firm cannot acquire rights nor can it incur obligations... The rights and liabilities of a partnership are the collection of the individual rights and liabilities of each of the partners. The firm name is a mere expression, not a legal entity...”

Ali Salim Ngoni v Keneddy Ogero Mokaya [2006] eKLR

A firm of advocates was instructed to institute legal proceedings on behalf of a client whose house was burnt down by a fire resulting from an electrical fault. The case was settled and payment made to the firm. The client sued one of the partners to account for the money. The partner objected to being sued individually on grounds that the suit should have been brought in the names of the firm.

Held: it is not fatal to sue a partner individually in respect of legal obligations arising out of a partnership relationship. This is because the Civil Procedure Rules provide that where persons are sued as partners in the name of the firm, they shall appear individually in their own names and service may be effected on one or several of them.

In **Geoffrey Gateete, Angella Maria Nakigonya v William Kyobe SCCA No. 7 of 2005**, the appellants and Matsiko Kasiimwe were partners in GMT group. The respondent filed a suit against them and obtained a consent judgement. The appellants only learnt about the suit during execution whereby they applied for stay of execution and for leave to defend the suit on grounds

that they had not been served and that the consent judgement entered into by their partner Matsiko Kasiimwe was not binding on the partnership as he did not have authority to do so. The High Court and Court of Appeal dismissed the petition on grounds that the Civil Procedure Rules permit service on a part. Justice Mulenga considered the following provisions in the Civil Procedure Rules:

Order 36 rule 11, gives the court very wide discretion to grant leave if is satisfied:



- either that service of the summons was not effective;
- or that there is any other good cause.

Order 36 rule 3

“(1) Where persons are sued as partners in the name of their firm, the summons shall be served

—

(a) upon any one or more of the partners;

(b) at the principal place at which the partnership business is carried on ... upon any person having ... the control or management of the partnership business there; or

(c) as the court may direct.

(2) The service shall be deemed good service upon the firm so sued, whether all or any of the partners are within or without Uganda....”

Order 36 rule 6

Appearance of partners.

Where persons are sued as partners in the name of their firm, they shall appear individually in their own names, but all subsequent proceedings shall nevertheless continue in the name of the firm.

Order 36 rule 3

No appearance except by partners.

Where a summons is served in the manner provided by rule 3 of this Order upon a person having the control or management of the partnership business, no appearance by him or her shall be necessary unless he or she is a partner of the firm sued.”

From reading the three rules together (3,6 &7), it is evident that “deeming service” in any of the modes provided by rule 3 to be “good service upon the firm” is premised on an assumption that the person served will ensure that all the partners sued under the firm name ultimately receive the summons. Hence the mandatory requirements under rules 6 and 7, that the partners, and only the partners, have to enter appearance in their individual names. **This is so because a suit against a partnership firm is in essence a suit against the individual partners jointly and severally.** Obviously, the partners cannot comply with the requirement to enter appearance where they are not made aware of the summons and the suit.

Order 30 rule 3 does not constitute a partnership firm into a corporate legal person nor does it vest in the person served, power of attorney to act for all the partners of the firm sued. The rule provides the alternative modes of service only for expediency. It must not be construed as compromising the right of any partner to know of a suit instituted



against him or her under the firm name and to have opportunity to decide whether or not to enter appearance and defend; or in the case of a summary suit, to decide whether or not to apply for leave to appear and defend.

It is apparent that in concluding that the assumed service on Matsiko Kasiimwe was effective service, the courts below took the expression “*deemed good service*” referred to in Order 30 rule 3 and the expression “*effective service*” referred to in Order 36 rule 11 to mean the same thing and actually used them interchangeably. In my view, the two expressions are significantly different.... effective service of summons means service of summons that produces the desired or intended result.

There can be no doubt that the desired and intended result of serving summons on the defendant in a civil suit is to make the defendant aware of the suit brought against him so that he has the opportunity to respond to it by either defending the suit or admitting liability and submitting to judgment.

Although the service on the agent or the substituted service would be “*deemed good service*” on the defendant entitling the plaintiff to a decree under Order 36 rule 3, if it is shown that the service did not lead to the defendant becoming aware of the summons, the service is “*not effective*” within the meaning of Order 36 rule 11.

In the instant case, there is no evidence of service on any partner at all. The courts below inferred that the summons was served on Matsiko Kasiimwe from the fact that he signed the consent judgment, notwithstanding the contention by the appellants that he did so in pursuit of a fraudulent conspiracy.

... the appellants were not served. In view of the haste in which Matsiko Kasiimwe signed the consent judgment, I do not find it plausible, as he alleges, that he consulted the appellants prior to signing the judgment. I find it more probable that the appellants became aware of the suit at the time of execution of the decree. Consequently, for the reasons I have given, even if, as the courts below inferred, Matsiko Kasiimwe was served with the summons, I would hold that the service was not effective.

3.1 A partnership Distinguished from other business organizations

a) sole proprietorship

- Both can operate under a business name
- Both face the risk of unlimited liability
- Number of people involved
- No collective entity status in a sole proprietorship



- A partnership may own property separate from the partners while a sole proprietorship cannot.

b) Company

- Legal entity status for a company upon incorporation
- Limited liability for the shareholders
- A partnership may be inferred from circumstances while a company must be created
- Act of a partner bind the other partners while in a company acts of a shareholder do not bind the other shareholders or the company.
- Companies act through officers ie directors and managers while partnerships act through partners

c) Joint venture

- Separate entities come together for a purpose
- Each entity retains its own identity and other activities that are not related to the joint venture

The case of **Intercar (U) Ltd Vs. Spear Motors Limited HCT-00-CC-MA-0704 of 2007** before Hon. Mr. Justice Lameck N. Mukasa attempted to give some legal guidance on the subject. It is however still clear from the case that it will depend on the circumstances of each case in determining the question as to whether the parties related to each other in a way that created a partnership or merely a joint venture.

The case concerned an issue as to whether 2 parties who had jointly placed a bid had done so merely under a joint venture or as a partnership.

In delivering judgment, Court made some important observations with regard to the legal nature of a joint venture including the following:

- In concluding whether or not a partnership has been established, Court has to consider all the circumstances of the relationship in order to apply the criteria for a partnership set out under the Partnership Act.
- A business venture may not be categorized as a joint venture where the parties are interested in different aspects of the business and have no common future interest in the proceeds of the joint venture transaction.
- A joint venture may be categorized as a partnership within the meaning of the Partnership Act if it qualifies as such.

- A joint venture relationship may be categorized as a partnership under the Partnership Act where either party presents or holds out the other as a partner.



- There is a presumption against the existence of a partnership if the conduct of the parties is contrary to its existence for example, where the parties in executing documents relating to the transaction, sign and seal such documents independently clearly naming the party signing.

In United Dominions Corporation Ltd v Brian Pty Ltd. and Others (1985) 157 CLR

1 commenting on joint ventures,

“The term ‘joint venture’ is not a technical one with a settled common law meaning. As a matter of ordinary language, it connotes an association of persons for the purposes of a particular trading, commercial, mining or other financial undertaking or endeavour with a view to mutual profit, with each participant usually (but not necessarily) contributing money, property or skill. Such a joint venture ... will often be a partnership. The term is, however, apposite to refer to a joint undertaking or activity carried out through a medium other than a partnership such as a company, a trust, an agency or joint ownership. The borderline between what can properly be described as a ‘joint venture’ and what should more properly be seen as no more than a simple contractual relationship may on occasions be blurred. Thus, where one party contributes only money or other property, it may sometimes be difficult to determine whether a partnership is a joint venture in which both parties are entitled to a share of profits or a simple contract of loan or lease under which the interest or rent payable to the party providing the money or property is determined by reference to the profits made by the other.”

It is therefore important for the parties in a joint venture agreement entered into for a specific business purpose to avoid holding out the other parties as partners. To the extent that they do, their business relationship falls to be categorized as a partnership which will attract the usual legal implications attendant to partnerships under the Partnership Act.

4.0 FORMATION OF A PARTNERSHIP

4.1 Formalities

Unlike other business organizations such as companies, formation of a partnership does not require formalities such as registration. However, section 4 of the Act requires partnerships carrying on business under a business name to register the name.

It is easy to confuse what the parties must do in order to form a partnership with the formalities which the parties may need to go through after the partnership has been formed. Some scholars think that the first step is to draft and sign a partnership agreement commonly known as a partnership deed. Others think that the first step is to register a business name known as the firm name.

In both of the above instances, it appears that those views are wrong. For instance, in *Henshaw v Roberts* 1967 (1) ALR Comm.5, the parties who were engaged in a mining syndicate in Nigeria whereby each party operated his own mining lease had registered themselves as partners under the Registration of Business Names Act, 1916, and each party was to make small contributions towards the discharge of the management expenses of the mining syndicate. There was no sharing of profits among the parties. The parties then entered into an agreement to form a partnership at a future time. After signing this agreement, parties continued to associate with each other in the same way as they had done before the signing of the agreement. One of the parties filed a suit for a declaration that no partnership had been created after the signing of the agreement. In determining whether the agreement entered into by the parties to form a partnership created a partnership, the High Court of Northern Nigeria (as it then was) held that the agreement between the parties did not create a partnership. The court quoted from *Lindley on Partnership* (1950) 11th ed., at 17, and observed that **it is the carrying on of a business, not an agreement to carry on a business which is the test of partnership.** Further, that an agreement to carry on business at a future time does not render the parties to that agreement partners before they actually do carry on the business. The court further observed that although a person who registers himself with others as a partner might be estopped from denying that he is a partner, in a suit brought against him by a third party, the mere registration of a business name is not conclusive evidence of the existence of a partnership between the parties *inter se*.

Therefore, the formation of a partnership starts with the persons themselves

agreeing either orally or in writing, to carry on a business in common with a view to profit. Once they actually start to do the business they have agreed upon, a partnership is said to have been formed at that particular time.

In **Dr. Okello N. David v Komakech Stephen HCT-02-CV-CS-0030-2004**, the plaintiff and defendant equally contributed money towards the purchase of an omnibus tax to operate on the Arua – Adjumani route. They also opened a bank account with UCB to which income from the taxi business was to be deposited. The defendant being a



driver was responsible for operating the defendant. He failed to account to the plaintiff and transferred the vehicle into his names hence this suit. The defendant denied existence of a partnership on grounds that there was no partnership deed, the plaintiff was not involved in the business and that the plaintiff has not contributed towards the purchase of the vehicle but lent him the money and that they had opened a joint account for purposes of repayment of the money. **Justice Kania** found that absence of a partnership deed did not negate existence of a partnership and based on the evidence of the witnesses including a banker who had advised them to open a bank account, a patron of their community and the LC1 Chairman to whom the plaintiff had first complained and the defendant admitted wrong doing, there existed a partnership to which both parties had equally contributed money towards the purchase of an omnibus taxi. He further stated that not every partner in a partnership should get actively involved in a partnership for a partnership to exist.

4.2 Capacity to form a partnership

Minors

Section 10 Partnership Act

A person who is a minor according to the law to which he or she is subject may be admitted to the benefits of partnership, but cannot be made personally liable for any obligation of the firm; but the share of that minor in the property of the firm is liable for any obligation of the firm.

In ***Lovell v Beauchamp [1894] AC 607***, it was held that a minor's immunity from liability covered the private property of the minor but did not protect the whole of the partnership assets from being made available for the payment of the partnership debts. However, the immunity does not extend to the minor if he was taking profits from the partnership i.e he cannot partake in the profits and avoid liability.

Section 11 of the Partnership Act

A person who has been admitted to the benefits of partnership while still a minor shall, on attaining the age of majority, be liable for all obligations incurred by the partnership from the date of his or her admission, unless he or she gives public notice within a reasonable time of his or her repudiation of the partnership.

Failure to repudiate within a reasonable time of majority may be regarded as affirmation of the contract of partnership. In *Goode v Harrison* [1821] 5 B & Ald 147, it was held



that the defendant who had been in partnership with I.S. was liable in respect of goods delivered to I.S. after the defendant had attained majority. Despite the absence of proof that the defendant had done any act as a partner after reaching majority, he was nevertheless held liable because he had failed to disaffirm the partnership when he came of majority age.

Whilst the minor may repudiate the partnership, the adult partner is entitled to insist that the partnership assets should be applied in payment of the liabilities of the firm and that until this is done, no part of such assets should be recoverable by the minor, to this extent, therefore, third parties may recover their debts out of the minor's property.

Persons of unsound mind

A person of unsound mind may enter into a partnership agreement provided that he was of sound mind at the time when such contract was entered into. Nonetheless under common law, such a contract is voidable at the option of the person of unsound mind if he can prove that:

- (a) he did not appreciate the implications of the agreement into which he had entered; and
- (b) this fact was known to the other party.

4.3 Types of Partnerships

The categorization of partnerships may be in accordance with the liability of the partners ie general viz- a vis limited partnership or in accordance with the business of the partnership ie a general business partnership and a professional partnership.

- a) **General Partnership** – this is a partnership where the liability of the partners is unlimited.
- b) **Limited liability partnership**- this is a partnership where one or more of the partners enjoy limited liability while the liability of the other partners is unlimited.
- c) **General business or trading partnerships**- this is a partnership formed for general business purposes as opposed to professional services. Note under section 2(2) of the Partnership Act that the maximum number of partners under such a partnership is 20.
- d) **Professional partnerships**- partnership where two or more professionals such as lawyers, accountants etc provide professional

services. Note under section 2(3) of the partnership act, the maximum number of partners in such a partnership is 50.

4.4 Categories of Partners



- a) **General partners-** Under section 26 (e), a general or active partner has, subject to any agreement (whether express or implied) to the contrary, a right to take part in the management of the business of the partnership. The liability of general partners is unlimited.
- b) **Dormant or silent or sleeping partners-** Such a partner does not take active part in the management of the business. Their liability may be limited or unlimited. In **Dr. Okello N. David v Komakech Stephen HCT-02-CV-CS- 0030-2004**, Justice Kania cited **Bubare Company v Mbale Kente [1982] HCB 143** that is trite law that not every partner in a partnership should get actively involved in the management of the partnership business for a partnership to exist. In fact there are partnerships with inactive partners known as sleeping partners.
- c) **Limited liability partner-** a partner in a limited liability partnership established under section 47 of the Act and who:
- i) Is not liable for debts and obligations of the partnership beyond the amount of his or her capital contribution.
 - ii) During the existence of the partnership does not receive or draw back his or her capital contribution to the partnership
- d) **Partner by holding out** – this is not a partner in the true sense of the word but is some who has held out as a partner and therefore estopped from denying. Lord MR stated thus in **Re Fraser Exp. Central Bank of London, [1892]2 QB 633 at 637**, “if a man holds himself out as a partner in a firm and thereby induces another person to act upon that representation, he is estopped as regards that person, from saying that he not a partner.”

5.0 RELATIONS OF PARTNERS TO THIRD PARTIES

A key feature of the general partnership is unlimited liability of the partners. Partnership law is in large measure defined by the rights of third parties against the partners. Three principal issues arise ie:

- a) Who is a partner for purposes of personal liability against creditors?
This is covered in the section dealing with establishment of existence of a partnership. However, having established the existence of a partnership, it is important to establish the scope of authority of a partner and when acts of a partner are binding on the other partners.
- b) Liability of an existing or retiring partner
- c) Allocation of interests between partnership creditors and personal creditors of partners

In this part we will consider the following:

- a) Authority of the partners
- b) Power to bind the firm
- c) Civil and Criminal liability partnership
- d) Liability and incoming and outgoing partners

5.1 Authority of Partners and the principal- agent relationship

It was held in **Bank of Australia V Breillat (1847) 6 Moo PC 152** that every partner is, in contemplation of law, the general and accredited agent of the partnership; or, as it is sometimes expressed, each partner is *praepositus negotias societatis*; and consequently may bind all the other partners by his acts, in all matters which are within the scope and objects of the partnership. Hence if the partnership is of a general commercial nature, a partner may:

- a) Pledge or sell the partnership property;
- b) Buy goods on account of the partnership;
- c) Borrow money, contract debts, and pay debts on account of the partnership;
- d) Draw, make, sign, indorse, accept, transfer, negotiate, and procure to be discounted, promissory notes, bills of exchange, checks and other negotiable paper, in the name of and on account of the partnership

As previously seen, partners in trading or commercial firms enjoy wider powers to those in non-trading firms. Where the business is not a trading business, i.e. not consisting of buying and selling goods and the business is customarily carried on without borrowing then if money is borrowed by one partner, the firm will not be bound unless some actual authority or ratification

can be proved. In such cases, a partner has no power to borrow or pledge the partnership property.

Partners are both principals in relation to their acts and agents of the other partners In

Cox v Hickman (1860) 8 HL Cas 286, Lord Cranworth stated that “the liability of



one partner for the liability of his co-partners is in truth the liability of a partner for the acts of his agent.”

The liability of partners is based on the following principals governing the principal- agent relationship:

a) Actual authority

This is the most common form of authority and it occurs when an agent's authority is derived from an express authority and it could also be established by conduct or custom.

b) Implied authority

This is sometimes referred to as usual authority and it arises in the form of acts which are 'usual' to or associated with certain types of business. See **Sharma v Mills**.

“Extent of implied authority will not extend to anything done otherwise than in the usual course of business and in the way in which it would usually be done in business of that kind.” **Halsbury's Laws of England, 4th Edition, Vol. 35, p. 46.**

c) Apparent or ostensible authority

This is sometimes referred to as ostensible authority and arises in situations where an agent is held out by principal as having the authority to do a particular act so that the 3rd party relies on the representation. In other words, it is the authority which an agent appears to outsiders or to third parties to hold.

Implied and apparent authority are based on the authority an agent appears to have and third parties are entitled to rely on this. However, in both cases, and according, third parties cannot rely on this authority if they know that the agent has no actual authority. Liability of the principal in cases of implied or apparent authority depends on 3 key factors:

- i. Whether the act relates to business carried out by the partnership?

In ***Polkinghorne v Holland (1934) 51 CLR 143***, the issue before court was whether partners in a firm of solicitors were liable for loss suffered by a client as a result of investment advice given by one of the partners. **The court in**

this case found that the giving of financial or investment advice was within the usual course of business of that firm of solicitors. The court further held that the other partners would only escape liability if there was evidence that the client sought advice from the partner who gave it, in his individual capacity to the exclusion of the firm. However, even though the partner had indicated to the client that the advice he gave would not be approved by the other partners, there was evidence from the course of dealings, that the client was dealing with the firm.



Liability may also be established in transactions not in the usual course of business of a particular firm but usual to firms of that nature. In ***Mercantile Credit Co Ltd v Garrod [1962] 3 All ER 1103***, the partners entered into an agreement for letting lock up garages and execution of motor repairs. The agreement expressly excluded the buying and selling of cars without the knowledge of the dormant partner. The active partner sold a car to which he had no title. The plaintiff claimed both partners and it was held both were accountable notwithstanding the express exclusion in the agreement. It was observed that what was apparent to the outside world in general was that the active partner was carrying out an act of the like kind of business carried on by persons trading as garages.

- ii. Whether it was done in the usual way of doing business?

What amounts to “usual way” or “ordinary course of business?”

In ***Dubai Aluminum Co. Ltd v Salaam [2003] 1 ALLER 97; [2002]3 WLR 1913***, Salaam defrauded the claimant company of USD 50 million. He was a client of a law firm whose senior partner assisted him in defrauding the claimant by drafting certain documents. However, neither the senior partner nor the other partners received any of the fraudulent proceeds. The issue before court was whether the other partners were liable for the acts of the senior partner? The court of appeal found that they were not liable on grounds that drafting documents in order to assist the commission of a fraud was not in the course of the firm’s business. However, on appeal to the house of Lords, the other partners were found liable on grounds that the act itself (drafting documents) was within the firm’s business and it did not matter that it was carried out in an unauthorized or unlawful way. **Lord Nicholls** stated “drafting these particular agreements is to be regarded as an act done within the ordinary course of the firm’s business even though they were drafted for a dishonest purpose. The acts were closely connected with the acts the senior partner was authorized to do that for the purpose of the liability of the law firm, they may fairly and properly be regarded as done by him while acting in the ordinary course of the firm’s business.

To ascertain whether the partner’s action was ‘carried out in the usual way’, courts will look at the particular business and at other people’s actions in similar businesses.

In ***Lal Sharma V Bush Mills (1957) EA 404***, individual employees were supplied with goods in consultation with one partner who had not consulted

the other partners. The evidence was that the saw mill was situated in Wanjohi some 30 miles towards the country from Naivasha. It was held that the firm was bound and the court arrived at this decision by examining the practices of similar firms engaged in activities similar to that of the firm in question. The court was able to conclude that the parties' actions were within the normal course of business. In that case court accepted evidence that 5 other firms situated outside Nairobi as this firm was were dealing with the plaintiff along similar lines. The learned judge was satisfied that it would be usual in the case of a saw



mill situated so far from civilization as this was, to utilize transport delivering timber in Nairobi to pick up provisions on behalf of its workers.

Madcuf J. quoted Lindley on Partnership 11th Edition p.185-186:

“It will be observed that what is done in carrying on the partnership business in the usual way in which businesses of a like kind are carried on, is made the test of authority where no actual authority or ratification can be proved. This probably means the same thing as saying that what is necessary to carry on the partnership business in the usual way is the test of a partner’s implied authority to bind the firm.”

“The question whether a given act can or cannot be said to be done in carrying on a business in the way in which it is usually carried on must evidently be determined by the nature of the business, and by the practice of persons engaged in it. Evidence on both of these points is therefore necessarily admissible, and, as may readily be conceived, an act which is common in the prosecution of one kind of business in the ordinary way may not be required for carrying on another business of a different character. Consequently, no answer of any value can be given to the abstract question – Can one partner bind his firm by such and such an act? unless, having regard to what is usual in business, it can be predicated of the act in question either that it is one without which no business can be carried on, or that it is one which is not necessary for carrying on business whatever.”

Note that an act will not be within the ordinary course of a firm’s business if the partner committed the act in a personal capacity and not as a member of the firm.

- iii. Whether the third party has knowledge that the partner has no authority or believes that he was not a partner?

In *Construction engineering ltd V Hexyl ltd (1985) 155 CLR 541*, a company called Tambel entered into a partnership agreement with another company Hexyl for the construction and operation of home units on land at Edgecliff owned by Tambel. The effect of this partnership agreement was that Tambel would enter into a contract for the construction of this building in its own name as principal. Some months later, Tambel entered into a building contract with Construction Engineering Pty Ltd (“Construction Engineering”). At the time of this agreement, Construction Engineering did not know of the existence of the partnership between Tembél and Hexyl. A dispute arose as to Construction Engineering's entitlement to payment and it was argued, inter

alia, that the contract made by Tambel had been made on behalf of the partnership.

The High Court unanimously held that Hexyl was not a party to the building contract. In examining the section in the New South Wales Partnership Act (the equivalent of s.6 of the Uganda Partnership Act), the judges said that the section has two distinct limbs:

The first deals with actual authority. It provides not that every partner is *deemed to be* an agent of the firm and his other partners for the purposes of the partnership business but



that every partner *is* an agent of the firm and his other partners for that purpose. The actual authority to which it refers is, prima facie in that it may be negated or qualified by contrary agreement of the partners. Applying this to the facts, the Court found that Construction Engineering could not rely upon this limb of the section. Any prima facie authority of Tambel to enter into the building agreement as agent for Hexyl as an undisclosed principal or otherwise was negated by the partnership deed, the court held.

The second limb of sec 5 (s.6 in Uganda) deals with ostensible authority. Even though actual authority may be lacking, the act of every partner who does any act or carrying on in the usual way of business of the kind carried on by the firm of which he is a member binds the firm and his partners unless the other party 'either knows that he has no authority or does not know or believe him to be a partner.' As Construction Engineering did not know or believe Tambel to be a partner, this limb of the section could not assist them. Finally, the court noted that irrespective of whether Tambel had actual or ostensible authority to enter into the building contract on behalf of Hexyl as an undisclosed principal, the fact remained that it did not contract in that capacity in any case.

5.2 Power to bind the firm

a) Effect of business instruments Section 6 of the Partnership Act

Partners bound by act on behalf of firm.

(1) An act or instrument relating to the business of the firm and done or executed in the firm name, or in any other manner showing an intention to bind the firm by any person authorised to bind the firm, whether a partner or not, is binding on the firm and all the partners.

(2) Subsection (1) does not affect any general principles of law relating to the execution of deeds or negotiable instruments.

b) Pledging credit of the firm Section 7 of the Partnership Act

Where a partner pledges the credit of the firm for a purpose apparently not connected with the firm's ordinary course of business, the firm is not bound, unless that partner is in fact specially authorized by the other partners.

This means that partners using credit of the firm for private purposes will not bind the partnership unless they are specifically authorized by the other partners. The limits of being 'specifically authorized' are unclear. However, there is some authority to suggest that if an outsider had reasonable grounds to suppose that there was authority (***Kendal v Wood* (1870) LR 6 Ex 243** per Blackburn J) or a representation or some form of



acquiescence (*London Chartered Bank of Australia v Kerr* (1878) 4 VLR (L) 330) existed, this would be enough to satisfy the section.

This Section has the effect of ensuring that the firm is only bound when its credit has been pledged for a purpose connected to the firm's ordinary course of business. In **Sharma V Bushell**, it was held that the action of the managing partner in pledging the credit of the firm for the supply of provisions to the firm's employee's was in the usual course of business of the firm and his partners were liable for his actions. Upon considering the evidence, it was justifiable to conclude that the pledging of the firm's credit by the managing partner was for a purpose apparently connected with the ordinary course of business of a saw mill situated where the saw mill was.

However, it is important to note that if the pledge is outside the course of business, the partner is individually liable as the Section ends with the words "*but this section does not affect any personal liability incurred by an individual partner*".

5.3 Restriction on authority of

partners Section 8 of the

Partnership Act:

Where it has been agreed between or among the partners that a restriction shall be placed on the power of any one or more of them to bind the firm, an act done in contravention of the agreement is not binding on the firm with respect to persons having notice of that agreement.

Therefore, partners who have restrictions placed upon their powers to bind the firm will not bind it when they exceed these restrictions if the other party to the transaction knows of the restrictions. This applies where the partner's power has been restricted or terminated. In such cases notice of the restriction or termination must be given to the outsider. See *Bowman v Bacon* (1897) 18 LR (NSW) 12.

This Section establishes a general principle of agency which provides that restrictions on an agent's authority are not effective against outsiders unless they know of such restrictions. The restrictions are effective among the partners but will not affect the rest of the world if there is notice of them.

In *Hamlyn v John Houston & Co.* [(1903) 1 KB 81], the defendant was a

firm of grain merchants consisting of two partners. One of the partners obtained confidential information on the claimant (a rival) firm by bribing a clerk in the rival firm which subsequently suffered loss and sued the defendant firm. It was held that the firm was liable for the partner's wrongful act which was committed in the ordinary course of business of the firm.

5.4 Liability of partners



a)Joint and Several liability of

partners Section 9 of the

Partnership Act:

(1) A partner in a firm is liable jointly with the other partners for all debts and obligations of the firm incurred while he or she is a partner.

(2) Where a partner dies, his or her estate is severally liable in due course of administration for the debts and obligations of the firm so far as they remain unsatisfied but subject to the prior payment of his or her separate debts.

(3) The estate of a partner who dies or who becomes bankrupt or of a partner, who, not having been known to the person dealing with the firm to be a partner, retires from the firm, is not liable for partnership debts contracted after the date of the death, bankruptcy or retirement respectively.

Section 9(1) provides for joint liability as a default rule and assumes equal responsibility of the partners for partnership debts and obligations. The presumption may be negative by evidence to the contrary as may be agreed upon by the partners. In addition, although liability is incurred by two or more persons, there is only one right of action against them. So, once judgment is entered against a partner or partners, further legal action cannot be brought against the other partners who could have been jointly liable had they been included in the action. In *Kendal v Hamilton (1879) AC 504*, the plaintiff sued 2 out of 3 partners and received a judgment that remained unsatisfied. He sought to institute proceedings against the third partner and it was held that he could not do so because the previous action, though unsatisfied extinguished the obligation.

b)Liability of the partnership in contract, tort, crime and other wrongs

i) Liability for wrongs of partners

Section 12 of the Partnership Act provides:

Where by any wrongful act or omission of any partner acting in the ordinary course of the business of the firm, or with the authority of the partner's co-partners, loss or injury is caused to any person not being a

partner of the firm, or any penalty is incurred, the firm is liable therefore to the same extent as the partner so acting or omitting to act.

See the case of *Dubai Aluminum Co. Ltd v Salaam* [2003] 1 ALLER 97 for liability of partners for the wrongful acts of their co-partner. Liability for an omission may include cases of negligence. Partners can be held liable for torts and misapplication of property entrusted to one partner and also for breach of trust. For purposes of section 12, it is important to establish that:



- (i) The partner was acting in the ordinary course of business of the firm; or
- (ii) Acted with the authority of his or her co-partners.

In *Arbuckle V Taylor (1815) 3 Dow 160*, one partner instituted a criminal prosecution on his own account against the plaintiff for alleged theft. The prosecution failed and the plaintiff sued for malicious prosecution. The plaintiff's claim against the other partners failed as it was not within the general scope of the firm's business or activities to institute criminal proceedings.

- ii) Liability for misapplication of money or property received for or in custody of the firm

Section 14 of the Partnership Act:

A firm is liable to make good the loss—

- (a) where one partner, acting within the scope of his or her apparent authority, receives the money or property of a third person, and misapplies it; and
- (b) where a firm in the course of its business receives money or property of a third person, and the money or property so received is misapplied by one or more of the partners while it is in the custody of the firm.

In *Rhodes v Moules [1895] 1 Ch.D 236*, Rew was a solicitor in partnership with Messrs Hughes and Masterman. Mr Rhodes was a client of the firm and the firm had acted for him on previous occasions. Mr Rhodes wanted to borrow some money on a property and asked Rew as his solicitor to assist him to effect the mortgage. Some clients of the firm, the Moules, were willing to lend the money. As security for the mortgage, Mr Rhodes gave Rew some share certificates and these were misappropriated by Rew.

One of the questions facing the court was whether the other two partners were liable for Rew's actions. The court held that the partners were jointly and severally liable for the value of the shares. According to **Lindley LJ at 249**:

"The only conclusion at which I can arrive is that the plaintiff's certificates came into Rew's hands when acting within the scope of his apparent authority."

The judge went on to say that 'the inference that the plaintiff's certificates were received by the firm in the course of its business' was justified.

In contrast, in *National Commercial Banking Corporation of Australia Ltd v Batty* (1986) 60 ALJR 379, the respondent was a partner with a person named Davis in an accountancy practice in Katoomba. Davis was also a director of a company called Bushby Pty Ltd, and he deposited two cheques belonging to the company (Bushby) in the accountancy's practice trust account. Davis later withdrew the proceeds from these cheques and misappropriated the whole amount. The appellant bank was held liable to the third party in conversion for collecting the proceeds for Davis and, on appeal, the



appellant argued that section 10 of the New South Wales Partnership Act made the respondent liable. Davis in the meantime had died.

The High Court, by majority, held that the deposit of the cheques in the partnership account was not a transaction in the ordinary course of the firm's business and was not within the actual or apparent authority of Davis. This meant that the respondent was not liable for Davis's wrongful act.

Note that section 13 specifically provides that liability for wrongs in section 14 is joint and several.

iii) Improper employment of trust property for partnership purposes.

Section 15 of the Partnership Act:

Where a partner who is a trustee, improperly employs trust property in the business or on the account of the partnership, no other partner is liable for the trust property to the persons beneficially interested in it; except that—

(a) this section shall not affect any liability incurred by any partner by reason of his or her having notice of a breach of trust; and

(b) nothing in this section shall prevent trust money from being followed and recovered from the firm if it is still in possession or control of the firm.

Note that section 15 is an exception to the other provisions and makes partners personally liable for breach in their capacity as trustee. This is in line with the law governing trusts whereby trustees have fiduciary duties and are personally liable for breach of trust.

iv) Persons liable by holding

out Section 16 of the

Partnership Act:

(1) Any person who by words spoken, written or by conduct represents himself or herself, or who knowingly suffers himself or herself to be represented as a partner in a particular firm is liable as a partner to anyone who has, on the faith of any such representation, given credit to the firm, whether the representation has or has not been made or communicated to the person so giving credit by or with the knowledge of the apparent partner making the representation or suffering it to be made.

(2) A firm shall not be liable for the acts of any person who falsely holds out himself or herself as a partner of a firm.

(3) Where, after a partner's death, the partnership business is continued in the firm name, the continued use of that name or of the deceased partner's name as part of the firm's name shall not of itself make his or her executors or administrators of the estate or effects liable for any partnership debts contracted after his or her death.



Note:

1) To constitute representation by conduct under 16(1), the acts relied upon must not be ambiguous. The acts must be clear and unequivocal in nature.

2) The estoppel in this section can only be relied upon and the liability be enforced by persons to whom the representation of partnership has been made and who have acted upon the faith of such representation. A general representation to the public is not sufficient unless the person giving credit heard of it and acted upon it. In ***Martyn v Gray (1863) 143 ER 667*** it was said by Williams J at 674:

"If the defendant informs AB that he is a partner in a commercial establishment and AB informs the plaintiff, and the plaintiff, believing the defendant to be a member of the firm, supplies goods to them, the defendant is liable for the price".

See also ***Re Fraser Exp. Central Bank of London, [1892]2 QB 633*** on estoppel and liability by holding out.

3) Liability is personal ie the person holding out as partner and not the firm or co- partners. See both 16(1) and (2). The sections place liability upon the person who represents themselves, or allows themselves to be represented, as a partner — not upon the actual partners. Such a person is estopped from denying the truth of such representation and is therefore subject to the same liabilities as if he were in fact a partner even though he contributes neither capital nor labour and has no interest in the profits of the business or having been a partner has retired without giving proper notice of that fact.

4) Section 16(3) provides an exception to several liability on the estate of a deceased partner ie continued use of the firm name after a partner's death does not make his or her estate liable for partnership debts. This should be distinguished from section 9(3) which makes the deceased partners estate severally liable for debts incurred while the deceased was still a partner.

5) The mere use of a person's name for example without his knowledge does not amount to holding out. In ***Fox V Clifton (1830) 6 Bing. 776***, Tindal CJ noted that "*the holding one's self out to the world as a partner as contra-distinguished from the actual relationship of partnership, imports at least the voluntary act of the party so holding himself out. It implies the lending of his name to the partnership and is altogether incompatible with the want of authority that his name has been so used. Thus in the ordinary instances of its occurrence, where a person allows his name to remain in a firm,*

either exposed to the public over a shop-door or to be used in printed invoices or bills of parcels, or to be published in advertisements, the knowledge of the party that his name is used and his assent thereto, is the very ground upon which he is estopped from disputing his liability as a partner”.



In *Tower Cabinet Co. V Ingram (1949) 2 KB 397*, Christmas and Ingram carried on a business of household furniture under the name Merries. The partnership was dissolved in April 1987 but Christmas carried on business under the same name. The plaintiff who had never previously dealt with Merries received an order to supply furniture. Following a default on payment, the plaintiff company sought to enforce against Ingram. The only knowledge that the plaintiff had about Ingram was that his name appeared on some old letter heads of the firm which letter heads were used by Christmas without Ingram's authority. It was held that Ingram was not liable because he had not knowingly suffered himself to be represented as a partner. The failure of the retiring partner to destroy the old notepaper of the firm (be it negligence or carelessness) did not amount to knowingly suffering himself to be held out as a partner when the old notepaper was inadvertently used after his retirement.

In *Chotalal Samjee Viranin v Ahmed El Sayed El Babari (1962) LJR 139*, a partner retired from the partnership but continued to stay in or near the business premises. The sons who had taken over the business borrowed money and the lender gave them credit on the assumption that their father was still a partner. Court found that the wealthy father's name was being used to enable the sons carry on the business. Court regarded this as a clear instance where the father was held out for the obvious purpose of securing credit. Accordingly, the law could not allow a person who had stood by and watched the fraud, renounce liability on grounds that he was not a partner.

c) Liability of incoming and outgoing partners

i) Liability of incoming

partner Section 20 (1) of the

Partnership Act:

(1) A person who is admitted as a partner into an existing firm does not become liable to the creditors of the firm for anything done before he or she became a partner.

Note:

- i) Section 20(1) exempts incoming partners from liability for prior debts.
- ii) Joint liability for incoming partners is with effect from the date they became partners.

ii) Liability of outgoing

partner Section 20 (2) of the

Partnership Act:

(2) A partner who retires from a firm does not cease to be liable for partnership debts or obligations incurred before his or her retirement.

(3) A retiring partner may be discharged from any existing liability by an agreement to that effect between partners and the members of the firm as newly constituted, and the creditors of the firm.

(4) The agreement referred to in subsection (3) may be either express or inferred as a fact from the course of dealing between the creditors and the firm as newly constituted.



(5) A retiring partner may, notwithstanding subsection (3), execute in writing an indemnity agreement with the members of the firm as newly constituted, in which the members undertake to indemnify the retiring partner of any existing liabilities.

Note:

i) Liability of retiring partner for debts and obligations prior to retirement
ii) Discharge from liability by agreement between the partners. See case of ***Munn v Scalera 181 Conn.527, 436 A.2d 18 (1980)*** - US case on liability of a partner on dissolution of a partnership but the principle on discharge of liability applies to retiring partners. Mr and Mrs Munn contracted Peter and Robert Scalera trading in partnership as Constructors I to build their house. The project fell into default and as a result of financial difficulties, the partners resolved to dissolve the partnership. Following discussions with the plaintiffs, Robert continued with the construction and Peter was relieved of all liability for the project. The plaintiffs sued both Robert and Peter to recover payments to suppliers in relation to the construction. The trial court found Robert liable but found Peter was relieved of liability both under the Uniform Partnership Act (UPA) and contract on the principle of accord and satisfaction. On appeal, it was held that section 36(3) of the UPA³ discharges a withdrawing partner whenever a creditor and the remaining partner, as principal, agree to a material variation, in the assumed debts by an alteration in the nature or manner of payment of those debts.

iii) Necessity to issue a retirement notice

Section 39 of the Partnership Act

On the dissolution of a partnership or retirement of a partner, any partner may publicly notify the dissolution or retirement of that partner, and may require the other partner or partners to concur for that purpose in all necessary or proper acts, if any, which cannot be done without his or her or their concurrence.

Note:

1) What amounts to public notification? *Newspapers? Gazette? Change of name? Change of official documents eg. Circulars?*
2) When is the public deemed to have been notified?
3) What happens when a partner does not notify the public? See ***Tower Cabinet Co. V Ingram (1949) 2 KB 397*** and distinguish it from ***Chotalal Shangai V Babari***

iv) Admissions and representations by partners

Section 17 of the Partnership Act:

³ Section 36(3) UPA- where a person agrees to assume the existing obligations of a dissolved partnership, the partners whose obligations have been assumed shall be discharged from any liability to any creditor of the partnership who, knowing of the agreement, consents to a material alteration in the nature or time of payment of such obligation.



An admission or representation made by a partner concerning the partnership affairs, and in the ordinary course of business, is evidence against the firm.

Francis Sembuya v All Port Services (U) Ltd SCCA no. 6 of 1999, the appellant and another (Kamanyi) were doing business together in the name of an unregistered business name styled Aero International (U) Ltd. They won a tender to supply cement to the Northern Uganda reconstruction program but did not have the money to supply the cement. They approached the respondent to supply the cement which was agreed to following negotiations at the appellant's office and issuance of an LPO. The respondents delivered the cement but the appellants failed to pay hence the suit. Kamanyi admitted liability but the appellant did not. One of the issues at the trial and on appeal was whether the appellant and Kamanyi held out as partners?

Held: the trial judge found the evidence to have established the existence of a partnership relationship between the 1st and 2nd defendant (the appellant and Kamanyi) in the form of a particular partnership for purposes of purchasing 20,000 bags of cement, reselling the same and distributing the profits accruing there from among the partners. The protestation of the 2nd defendant about the existence of the partnership were not believable”

Justice Tsekooko of the Supreme Court found that the evidence of the respondent established that the two men (the appellant and Kamanyi) had got a contract to supply cement to Northern Uganda Rehabilitation Program. Evidence showed that the two men would sell the cement and share out the profits. The evidence further showed that the two men were engaged on the same task of getting and selling cement and one was working with the other on that task. In matters of business transactions, Courts are enjoined to enforce transactions, which have been performed as a matter of substance and not as matter of technicality. In his testimony the appellant wholly denied any business dealings Kamanyi. The appellant also contested the existence of a partnership called Aero International. However, the appellant does not

specifically deny the claim by Kamanyi that part of the money paid to the respondent was from a business owned by the appellant and the person who typed the LPO was an employee of the appellant. On the evidence, the appellant was not being straight forward about his relationship with Kamanyi. This is understandable since the appellant would wish to avoid liability because of his association with Kamanyi. I do not accept that there was no holding out. The evidence accepted by the courts below shows that Kamanyi was in business with the appellant.



6.0 THE RELATIONSHIP BETWEEN PARTNERS

The relationship between partners is of a fiduciary nature.

“A fiduciary is someone who has undertaken to act for and on behalf of another in a particular matter in circumstances which give rise to a relationship of trust and confidence.” *Lord Millett, Bristol and West Building Society v Mothew*[1998] Ch.D 1.

A fiduciary duty is the highest standard of care at either equity or law. The fiduciary duties which partners owe to each other include to:

- a) act in good faith and with honesty;
- b) provide full accounts of all information and assets in a partner's possession or control which are material to the partnership business;
- c) avoid any conflicts of interest;
- d) avoid making a personal profit from partnership opportunities and information;
- e) account for benefits obtained from partnership business.

Fiduciary obligations only cease upon the final settlement of accounts on winding up of the partnership.

The law imposes duties of skill, care and good faith on partners for the purpose of the enterprise as a whole. There are 2 basic principles that govern the internal relations of the partners and these are freedom of contract and good faith. According to section 21, the mutual rights and duties of partners whether ascertained by agreement or defined by the Act may be varied by the consent of all the partners and such consent may be either expressed or implied from course of dealings. According to the wording of the section, partners are free to formulate their own rules provided that they fall within the general frame work of the law. The rules and duties of the partners can be varied but it must be with the consent of the members of the firm. There are also some express duties imposed by the Act and these are the residual/default duties that would apply to the firm.

6.1 Duties of Partners

a) Duty of disclosure

Section 30 Partnership Act

Every partner is bound to render true accounts and full information of all things affecting the partnership to any partner or his or her legal representatives.

In ***Law v Law (1905) 1 Ch.D 140***, William Law and James Law were partners in the business of wood at Halifax, Yorkshire. William lived in London and took very little



participation in the partnership. Most duties were done by James. In the course of their business James proposed to purchase the shares of William for £ 21,000 and William accepted and was paid. Later, William discovered that certain properties of the partnership had been hidden from him by James and as a result he had sold his interest at an under value. He brought the action challenging the sale. The issue was whether the sale of William's shares to James was varied. Court referring to the duties of the partners to each other ie disclosure held that James was under duty to reveal all the information pertaining to the affairs of the business and failure to do this was a breach of that duty and the partnership contract was voidable for non disclosure.

Cozen – Hardy LJ noted “Now it is clear that in a transaction between co-partners for the sale by one to the other of a share in the partnership business, there is a duty resting upon the purchaser who knows and is actually aware that he knows more about the partnership accounts than the vendor, to put the vendor in the possession of all material facts with reference to the partnership assets and not to conceal what he alone knows.”

b) Duty not to make a secret profit.

Section 31 Partnership Act

Every partner must account to the firm for any benefit derived by him or her without the consent of the other partners from any transaction concerning the partnership, or from any use by him or her of the partnership property, name or business connection.

Similar to trustees, company directors and other fiduciaries, a partner is precluded from deriving a benefit from a firm's property, name or business connection. This is especially so in circumstances where the partner's duties conflict with his personal interest.

In ***Bentley v Craven (1453)18 Bears 75***, Craven was a partner in a firm in the business of sugar. When prices in the market were particularly low, he bought a huge stock of sugar with his own personal money and stored the same in his own godowns. Soon, the firm needed to purchase sugar for its business and entrusted the job to purchase the sugar to Craven. Craven immediately supplied the required quantity of sugar from his own stock at the prevailing market rates. Craven made a good amount of profit and later, the partners of the firm came to know about this. They demanded the difference amount of Craven's cost price and selling price to the firm be paid to the firm. Craven contended that there was no deception and he had used only his personal

resources and if he wanted he could have sold the sugar to other people at the same market rate.

It was held that the firm was entitled to an account for the profit made by Craven as well as to be paid the profit Craven earned in the said transaction. This is so because all partners must work for the greatest common good and no partner is entitled to personal profits from the transactions of the firm. Furthermore, a partner is duty bound to give account of all the things that concern and affect the business of the firm.



Similarly, *Olson V Gullo (1994)*¹¹³ DLR 42, Olson and Gullo were equal partners in a venture to develop a tract of land. Gullo bought and sold 90 acres of land and made a profit of nearly USD 2.5 million. Olson sued for the recovery of the money. He was awarded half of the amount of the profit based on principles of restitution i.e. to restore the innocent partner to the position he would have been in had there been no breach of duty. The USD 2.5M would have been profit for the partnership to which each partner would have received half. However, court also made a penal order as to costs against the defendants.

c) **Duty not to compete with the firm.**

Section 33 of the Partnership Act

Where a partner, without the consent of the other partners, carries on any business of the same nature as, and competing with, that of the firm, the partner must account for and pay over to the firm all profits he or she made in that business.

As fiduciary, a partner is barred from carrying on business in competition with the partners and the partnership. Under section 32, if a partner, without the consent of the other partners, carried on any business of the same nature as and competes with that of the firm, he must account for and pay over to the firm all profits made by him in that business.

Whether or not the business carried on by the partner is the same as that of the firm is a question of fact. In *Ass v Benham [1891] 2 Ch. D 244*, Benham was a partner in a ship-broking firm (H. Clarkson & Co.) which hoped to act in negotiations between the Spanish and Portuguese Governments and ship builders. He had also been approached for advice by a ship building company. He received information while acting for the firm suggesting that it could be reconstituted as a builder of warships and acquire a yard he discovered in Bilbao. He used that information to help write a prospectus for the ship-building company's reconstruction, and made profits for himself as a result of the reconstruction. When sued to account for the profits, it was held that Mr Benham was not liable to account to his partners. It was not part of the firm's business to advise on corporate reconstructions or to build ships. Even though Mr Benham had learnt of the information whilst on the firm's business, he owed no fiduciary duty to his partners which prevented him from making use of the information as he did. **Lindley LJ** stated: "It was

not part of the business of H. Clarkson & Co to promote or reconstruct companies, nor to advise them how to improve the management of them. All

such matters are quite foreign to the business of H. Clarkson & Co . .
He (Benham) never was in fact acting for his firm in this matter, nor did his partners ever suppose he was, or treat him as so acting. Nor is it true in fact that Mr Benham or the company for which he was acting ever derived any benefit from his connection with the firm of H. Clarkson & Co. **It is clear law that**



every partner must account to the firm for every benefit derived by him without the consent of his co-partners from any transaction concerning the partnership or from any use by him of the partnership property, name or business connection; but the facts of this case do not bring it within this principle. **It is equally clear law that if a partner without the consent of his co-partners carries on business of the same nature as, and competing with that of the firm, he must account for and pay over to the firm all the profits made by him in that business,** but the facts of this case do not bring it within that principle. *Dean v. MacDowell (1878) 8 Ch. D. 345* shews that a partner is not bound to account to his co-partners for profits made by him in carrying on a separate business of his own, unless the case can be brought within one or other of the two principles to which I have alluded, even if he carries on such separate business contrary to one of the partnership articles. As regards the use by a partner of information obtained by him in the course of the transaction of partnership business, or by reason of his connection with the firm, the principle is that if he avails himself of it for any purpose which is within the scope of the partnership business, or of any competing business, the profits of which belong to the firm, he must account to the firm for any benefits which he may have derived from such information, **but there is no principle or authority which entitles a firm to benefits derived by a partner from the use of information for purposes which are wholly without the scope of the firm's business,** nor does the language of Lord Justice Cotton in *Dean v. MacDowell* warrant any such notion. By 'information which the partnership is entitled to' is meant information which can be used for the purposes of the partnership. **It is not the source of the information, but the use to which it is applied, which is important in such matters. To hold that a partner can never derive any personal benefit from information which he obtains as a partner would be manifestly absurd.** Suppose a partner to become, in the course of carrying on his business, well acquainted with a particular branch of science or trade, and suppose him to write and publish a book on the subject, could the firm obtain the profits thereby obtained? Obviously not, unless, by publishing the book, he in fact competed with the firm in their own line of business.'

6.2 Rights of Partners

a) Rights of a Partner to the management of the firm.

Under section 26, partners may arrange their respective rights and duties as they think fit and the section only relates to their rights so far as they are not modified or negated by express agreement or by course of dealing, since a partnership is a joint enterprise but whose organization is different from a company and where according to section 2(1),



partners are expected to carry on business in common, it is expected that some or all the partners will be involved in the management of the business. In view of this and subject to any contrary agreement, every partner has a right to take part in the management of the partnership business.

Section 26 (e) provides that every partner may take part in the management of the partnership. It is not mandatory for every partner to be involved in the management. Partners are at liberty to determine their organizational arrangements and by virtue of case law and statute, some partners may be active while others are dormant. However, it is important to note that critical decisions relating to the partnership must be made by all partners. This is different from a company where the Companies Act requires special resolutions (ie at least 75% of the members) for key decisions such as alteration of articles, reduction of capital etc. Therefore, the following provisions must be noted:

- i) Section 26(g) - no person may be introduced as a partner without the consent of all existing partners.
- ii) Section 26 (h)- Ordinary matters may be decided by a majority of partners but no change may be in the nature of partnership business without the consent of all existing partners.

In ***Byrne v Ried (1092) Ch. D 735***, by partnership agreement a father was empowered to nominate his son as a partner but when he did so, the other partners refused to recognize him as such. It was held that members of the firm having consented to a partner's admission, such a person is entitled to the usual remedies granted to actual partners. In ***Highly v Walker (1910) 26 TLR, 685*** two of three partners agreed to the admission of one of their sons to be trained as an apprentice in the firm's workshop. The third partner did not agree and decided to apply for an injunction to prevent the admission. Court held that the decision to admit an apprentice to be trained in the firm's business was an ordinary matter that could be decided by a majority of the partners. It was further stated that the power of the majority to bind the dissenting minority must be exercised in accordance with utmost good faith and the majority can't bind the minority without giving them the opportunity for discussion. If this was so, it would place the firm in the hands of the majority and deny the other partners a right to the management of the firm.

In ***Carmichael v Evans (1904) 1 Ch.D 486***, a partner was expelled from a firm following a conviction for traveling by train without a ticket. This was held to be a valid exercise of the power of expulsion under the partnership agreement, which allowed for expulsion on grounds of scandalous conduct

detrimental to the partnership business or for flagrant breach of the duties of a partner.

b) Rights to Indemnity, Remuneration and Interest.

According to section 26(b), unless a contrary intention appears, the firm must indemnify every partner in respect of payment made and personal liabilities incurred by him in the ordinary and proper conduct of the business of the firm.



A partner is also entitled to an indemnity for anything necessarily done for the preservation of the business or property of the firm. With regard to remuneration, section 26 (f) provides that no partner shall be entitled for remuneration for acting in the partnership business. However, this is subject to any contrary agreement e.g. agreements that provide for salaried partners.

Regarding interest, section 26(c) provides that a partner making for the purpose of the partnership any actual payment or advance beyond the amount of capital which he has agreed to subscribe, is entitled to interest at the rate of 6% per annum from the date of payment of the advance.

7.0 PARTNERSHIP PROPERTY

Whether in business or not, it is important for the law to assign clear property ownership rights. In a partnership, we are concerned about the status of property brought into the partnership, the rules for distinguishing between personal and partnership property and the manner in which a partner's interest is treated either upon withdrawal, death or dissolution of the partnership.

7.1 Property brought into the firm at its commencement.

Section 22 of the Partnership Act

(1) All property, rights and interests in property originally brought into the partnership stock or acquired, whether by purchase or otherwise, on account of the firm and in the course of the partnership business are, in this Act, referred to as "partnership property".

Note:

- 1) A partner may contribute capital to the partnership in the form of property.
- 2) Property brought into the partnership, unless a contrary intention is expressly stated (such as *in Pocock v Carter*), is partnership property.
- 3) Although sections 22(1) and 23 talk about partnership property, the partnership does not own the property distinct from the owners as is the case with companies. Note section 22(2) which provides that except that the legal estate or interest in any land which belongs to the partnership shall devolve according to the nature and tenure of the land and the general rules of law.

As English law, however, does not treat a firm as a legal person, the legal title to partnership lands must be conveyed to the partners, or to some person as their trustee. This title devolves "according to the nature and tenure thereof and the general rules of law thereto applicable, but in trust...for the purposes of the partnership and in accordance with the

partnership agreement."⁴

4) It follows from section 22 (2) that property must be held and applied by the partners exclusively for the purposes of the partnership and in accordance with

⁴ Burdick Francis M, Partnership Reality, 9 (1) Colombia Law Review, 197.



the partnership agreement

In *Pocock v Carter (1912) 1 Ch. D 663*, A, B and C were partners in a tailoring business. The building in which the business was carried out belonged to A. The firm paid him rent for the use of it. The building was declared under the partnership deed to be the property of A for whose life the partnership was to last. The agreement also provided that the rent rates and taxes were to be paid out of yearly profits to the firm. Court inferred that the partnership was a tenant and that the tenancy would continue during the firm's subsistence.

In *Miles v Clark (1953) 1 ALL ER 779*, the Miles and Clark were partners at will who conducted business as commercial and fashion photographers. Miles was a well known photographer who brought in considerable goodwill and negatives. Clark owned the leasehold premises, furniture and studio equipment. Following a disagreement, the issue was whether the Miles had an interest in the property contributed by Clark. The court held that no agreement between the parties should be conferred than is absolutely necessary to give efficacy to that which happened. Nothing changed hands except the things which were actually used and used up in the course of business, mainly the stock of negatives and everything that changed its existence during the partnership could be considered partnership stock but the leasehold, furniture and studio equipment did not form part of the partnership property but remained the separate property of the defendant. The rationale was that the defendant had not agreed to sub-lease the property.

Where an agreement exists, court looks at the peculiar circumstances of the case for example the intention and conduct of the partners in each case *Davis v Davis (1894) 1 Ch. D 393*, a partner in a business borrowed money on the security of some property over which they were tenants in common. They expended money partly in erecting workshops on part of the mortgage property. The workshops were, in addition to other works which they carried on in the partnership business and which belonged to them as co-owners. The Chancery Division held that the workshops did not become partnership property as there was no evidence that the partners had such an intention.

7.2 Property acquired during subsistence of the firm

Section 22(1) extends to property acquired whether by purchase or otherwise, on the account of the firm or for purposes and in the course of the partnership business. In addition, section 23 provides that unless the contrary intention appears, property bought with money belonging to the firm is taken

to have been bought on account of the firm. The implications of section 22(1) and section 24 are that:

1) The property in question must be used exclusively for partnership purposes and a partner in breach of this is liable to account. In *Ass v Benham [1891] 2 Ch. D 244*, Lindley J stated thus:

“It is clear law that every partner must account to the firm for every benefit derived by him without the consent of his co-partners from any transaction concerning the partnership or from any use by him of the partnership property, name or business connection.”



- 2) The presumption that property bought with partnership money belongs to the partners may be negative by evidence to the contrary e.g where the funds are lent to the partner or where the partners expressly agree to the contrary.
- 3) Registering the property in question in the names of one partner does not necessarily rebut the presumption in section 23. In *Foster v Hale (1800)* 5 *VES.308*, land was purchased using partnership funds and the title was taken out in the name of the purchasing partner, it was held out that the land was still partnership property.

7.3 Nature of a Partner's interest in the Partnership and Partnership Property.

What is the nature of a partner's interest in:

- a) the partnership?
- b) the property of the partnership?

It is important to understand the above for purposes of determining exit rights, how to deal with bankruptcy or death of a partner.

Partner's interest in the partnership

It is possible for partners to assign their interest in the partnership. This is permitted by section 34 (1) which inter alia provides that as assignment by any partner of his share in the partnership either absolutely or by way of mortgage does not as against the other partners entitle the assignee during the continuance of a partnership to interfere in the management or administration of the partnership business or affair or to require any accounts of the partnership transaction or to inspect the partnership books, but entitle the assignee only to receive the share of the profits to which the assigning partner will otherwise be entitled.

Partner's interest in partnership property

- a) Partnership property as personal estate

Section 24 is very clear. It provides that where land or any interest in it becomes partnership property, it shall, unless the contrary intention appears, be treated as between the partners (including the representatives of a deceased partner) and also as between the heirs of a deceased partner and his or her executors or administrators, as personal and not real estate.

The provision in section 24 has historical roots in principles of equity and early decisions of courts as illustrated below:

“ It is the clear principle of a court of equity, in the law of partnership...that the mere contract of partnership, without any express stipulation, involves in it an implied contract, quite as stringent as it if were expressed, that, at the dissolution of the partnership, all the property then belonging to the partnership, whether be it ordinary stock in trade, or a leasehold interest or a fee simple estate in land, shall be sold, and the net proceeds, after satisfying all the partnership debts and



liabilities, be divided among the partners; and that each partner and the representatives of any deceased partner, have a right to insist on this being done.”⁵

b) Partnership property in relation to creditors

Section 25(1) of the Partnership Act provides that execution of a decree shall not issue against any partnership property except on a judgment against the firm. This means that partnership law grants interests to partnership creditors in a manner that is different from the personal creditors of the partners. By way of illustration, if A supplies goods to Absa Partners and is not paid, he may sue, obtain judgment and seek to attach the property of Absa Partners in execution of his capacity as judgment creditor. However, where one of the partners of Absa Partners (Cox) obtains a loan from a bank to build his residential house, and defaults, the bank cannot by reason of section 25(1) seek to attach the property of Absa Partners. In other words, a person who sues a partnership and obtains judgement may attach partnership property in execution of the judgement. However, a judgement creditor of an individual partner is not at liberty to attach partnership property but is required to petition court in respect of the partner’s interest in the property as provided for in section 25(2) below:

- (2) The court may, on application by summons of any judgment creditor of a partner, make an order—
- (a) charging that partner’s interest in the partnership property and profits with payment of the amount of the judgment debt and interest on it;
 - (b) appointing a receiver of that partner’s share of profits whether already declared or accruing and of any other money which may be coming to that partner in respect of the partnership; and
 - (c) directing all accounts, inquiries and giving other orders and directions which might have been directed or given if the charge had been made in favour of the judgment creditor by the partner or as the circumstances of the case may require.

Section 25(3) further provides that the other partner or partners shall be at liberty at any time to redeem the interest charged, or, in case of sale being directed, to purchase it.

It should be noted that although section 25 attempts to draw a distinction between rights to partnership property as between creditors of the firm and the personal creditors of the partnership, complications may arise in relation to priority of claims between the two creditors and the act does not envisage this. For example, it is not clear how courts would resolve a claim to partnership

property by both the creditor of the firm/partnership and the personal creditor of the partner. Would courts give priority to creditors of the partnership or creditors of the partner or would the claims be treated in parri passu? On the contrary, section 9(2) grants priority to personal creditors of a partner over creditors of the firm/ partnership in respect of the personal property of the partner i.e. Where a partner dies, his or her estate is severally liable in due course of administration for the debts and obligations of the firm so far as they remain unsatisfied but subject to the prior payment of his or her separate debts.

⁵ Sir R. T. Kindersley, V. C. in *Darby v. Darby* (1856) 3 Drew. 495 at 503-506.



8.0 DISSOLUTION OF A PARTNERSHIP

8.1 Dissolution by expiration or notice

Section 34(1) provides that subject to any agreement between the partners, a partnership is dissolved—

(a) if entered into for a fixed term, by the expiration of that term.

This is fairly straight forward and relates to fixed term partnerships which end automatically on the expiration of such term without any positive or formal act by any of the partners. However, the partnership may be terminated earlier if for example one of the partners dies before the lapse of such term or if there is a provision for prior termination. Nevertheless, partners may choose to continue in business together after the expiry of a fixed term. They will then become partners at will and each may give notice to terminate at any time. See ***Moss v Elphick [1910] 1 KB 846***, the question before court was whether a partnership that provided that it shall be terminated "by mutual arrangement only," could be dissolved by notice. Court rejected the argument that the partnership was for "no fixed term" and that it was "for an undefined time" and could be terminated by notice of one of the partners on grounds that it could only be dissolved by mutual arrangement as provided by the partnership agreement.

(b) if entered into for a single adventure or undertaking, by the termination of that adventure or undertaking;

A single adventure is similar to a fixed term contract to the extent that the parties thereto are expected to persevere to the end subject to any other term to the contrary.

(c) if entered into for an undefined time, by any partner giving notice to the other or others of his or her intention to dissolve the partnership.

If the partnership is one of indefinite duration, any partner may give notice of intention to dissolve the partnership at any time. It was noted by **Eldon L.C.** in ***Crawshay V Maule (1818) 36 ER 479*** at 483 that “**The general rules of partnership are well- settled. Where no term is expressly limited for its duration, and there is nothing in the contract to fix it, the partnership may be terminated at a moment's notice by either party. Without doubt, in the absence of express, there may be an implied,**

contract as to the duration of a partnership.”

In *Shah v Pattel and Others, CA no. 2 of 1984*, the court dealt with the issue of the effect of notice given by three of the four partners of an accounting firm ie whether the notice dissolved the partnership or the partnership could continue under the remaining partner. Justices Kneller and Gachuhi found that the partnership was dissolved.



In Sobell vs Boston [1975] 2 ALL ER 282, following a criminal conviction of one of the partners, the other partners placed a notice in the Law Society Gazette that the partnership had been dissolved and further stated that the remaining partners continued to practice in the same way and place. It was held that on all the evidence the “criminal” partner had simply retired, and notice of dissolution had not been given.

The following should be noted with respect to termination by notice:

- 1) Notice to terminate does not absolve the partnership from liability from any outstanding obligations to third persons.
- 2) The notice to dissolve is effective when communicated. Express notice is not essential as clear and unequivocal conduct may suffice. In *Griffiths v Bracewell*, 6 months’ notice of dissolution given by a partner under the terms of the partnership agreement was held to dissolve the partnership at the expiration of the 6 months. A further provision that the assets should be valued and that the partnership should then cease and determine was held to relate to the quasi and qualified partnership which only continued for that limited purpose.
- 3) Section 34(2) provides that termination under section 34(1)(c) is effective from the date mentioned in the notice as the date of dissolution, or, if no date is so mentioned, as from the date of the communication of the notice.

8.2 Dissolution by bankruptcy, death or charge.

Section 35(1) provides that Subject to any agreement between or among the partners, a partnership may, at the option of the other partners, be dissolved by the death or bankruptcy of any partner.

a) Death of a partner

Whereas death of a partner does not necessarily dissolve or terminate a partnership, it results into the following:

- 1) A reconstitution of the partnership ie comprising of either the remaining partners or a new partner replacing the deceased partner. There is a view that this is in effect a new partnership. This view is consistent with the dissenting opinion of Justice Platt in *Shah v Pattel and Others, CA no. 2 of 1984* where he stated thus:

“It may be as well to say, that when a partner retires or leaves the partnership on bankruptcy or death, the partnership is dissolved as between him and the other partners, but that does not necessarily bring about a general dissolution, which would mean that the whole of the business would be wound up.”



- 2) Death of a partner does not absolve the partnership and the estate of the deceased partner from liability for prior existing debts and obligations.
- 3) Death of a partner may prematurely dissolve a fixed term partnership and may indeed end a partnership which has not been effectively terminated by notice. In *McLeod v Dowling (1927) 43 TLR 655*, where a partner who sent a notice of dissolution died before such notice was received by his co-partner, it was held that the partnership had been ended by death and not by notice with the result that the surviving partner was able to acquire the business and goodwill on the terms laid down in the articles instead of being confined to a claim for an equal share on dissolution which would have been the case had the firm been ended by notice.
- 4) Where death of a partner dissolves the partnership, the remaining partner has authority to continue the partnership for purposes of winding up. In *Re Bourne (1906) 2 CH. D 427*, court held that a bank was entitled to assume that transactions on and relating to the firm's account by the surviving member of the partnership, the other having died, were carried out with the deemed authority of the firm, for the purpose of winding it up. Thus the equitable mortgage given by the survivor over the firm's realty in order to secure an overdraft on the account was binding on the firm and took priority over claims by the deceased partner's executors who alleged that the mortgage had been given without actual or ostensible authority.

b) Bankruptcy of a partner

The bankruptcy of a partner ends a partnership and vests his share in the partnership in his trustee-in-bankruptcy whose rights cannot be affected by any agreement amongst the partners to the effect that the partnership is to continue notwithstanding the bankruptcy of one of its number.

c) Termination by charging order

Section 35(2) provides that a partnership may, at the option of the other partners, be dissolved if any partner suffers his or her share of the partnership

property to be charged under this Act for his or her separate debt.

A charging order is the statutory means by which a judgment creditor may reach the partnership interest of a judgment debtor. A charging order is simply an order creating a lien upon and directing the partnership to account for and pay to the judgment creditor all of the debtor's transferable interest (distributions) in the partnership. The objective of the charging order is to secure the judgment creditor's receipt of those distributions



while, at the same time, precluding that judgment creditor from interfering with the activities of the partnership as a going concern

See:

Gose, Gose, The Charging Order Under the Uniform Partnership Act, 28 Wash. L. Rev. 1 (1953). Act, 28 Wash. L. Rev. 1 (1953).

Jeffrey L. Smoot, Judgement Enforcement Against Interests in Partnerships and LLCs

Thomas E. Rutledge and Sarah Sloan Wilson, An Examination of the Charging Order under Kentucky's LLC and Partnership Acts, 99 Kentucky Law Journal, 85.

8.3 Dissolution by illegality of partnership.

Section 36 provides that a partnership is in every case dissolved by the happening of any event which makes it unlawful for the business of the firm to be carried on or for the members of the firm to carry it on in partnership.

The section covers 2 instances namely:

- (a) where it is unlawful for the business of the firm to be carried out e.g where the business is prohibited by law such as prostitution, human trafficking, trafficking in ivory, pornography etc.
- (b) where it is unlawful for the members of the firm to carry on that business in partnership such as such as non-qualified professionals carrying on business as lawyers, accountants, architects etc. In **R. v Knupfer (1915) 2 KB 321**, court found that the declaration of war had the effect of dissolving a partnership

8.4 Dissolution by the court for, incapacity, etc.

Section 37 provides for instances in which a partnership may be dissolved by court. It provides that on the application by a partner, the court may decree dissolution of the partnership in any of the following cases—

(a) when a partner is adjudged a lunatic, or is shown to the satisfaction of the court to be of permanently unsound mind, in either of which cases the application may be made as well on behalf of that partner by his or her guardian ad litem or next friend or person having title to

intervene as by any other partner;

This ground is reliant on a partner being adjudged a lunatic. A partner's insanity of itself does not automatically dissolve a partnership. The partnership will thus continue until the adjudication is made.

(b) when a partner, other than the partner suing, becomes in any other way permanently incapable of performing his or her part of the partnership contract;



Whether a partner has become permanently incapable is a question of fact. This may include insanity, permanent disability. An important addition is that a claim under this ground may only be brought by a partner other than the partner afflicted with such incapacity and no other person.

(c) when a partner, other than the partner suing, has been guilty of such conduct as, in the opinion of the court, regard being had to the nature of the business, is calculated prejudicially to affect the carrying on of the business;

This may include professional misconduct or conduct by a partner that may bring the partnership into disrepute or makes it undesirable to continue in partnership with the said partner. Courts are however careful not to take on the role of moral judges. **Lord Romilly MR.** refused dissolution in ***Snow v Milford (1868) 16 WR 654***, based upon a banker's adultery with various persons in Exeter. The articles of the banking partnership referred to acts "to the discredit or injury" of the firm. In the absence of evidence to show injury or likely injury to the firm, the partner's conduct which resulted in his eventual divorce was not such as to justify dissolution either under the articles or under the general law of partnership.

(d) when a partner, other than the partner suing, willfully or persistently commits a breach of the partnership agreement, or otherwise so conducts himself or herself in matters relating to the partnership business that it is not reasonably practicable for the other partner or partners to carry on the business in partnership with him or her;

Whether it is the persistent breach of the partnership agreement or the conduct of the other partner which is complained of, this head covers a situation in which one partner has come to feel a justifiable lack of confidence in the others with the result that it has become impossible to carry on the business without injury to the parties.

It must be noted however that not every breach will suffice for this ground. It was noted by **Sir Shadwell V-C** in ***Loscombe V Russell (1830) 3 Sim 8***, that "*with respect to occasional breaches of agreements between partners, when they are not of so grievous a nature as to make it impossible that the partnership should continue, the court stands neuter.*"

In ***Anderson v Anderson (1857) 25 Beav. 190***, it was held to be a ground for dissolution under this head for a father to treat his partner-son in a way which failed to appreciate that he was a grown up man. The father was proven to be in the persistent habit of opening his son's private letters.

(e) when the business of the partnership can only be carried on at a loss;

On this ground, the court acts on the rationale that expectation of profit must be implied in every partnership such that where it is demonstrated that there is a practical impossibility of profits, the partners will be relieved from what is clear a loss making



venture. It must however not be a mere decline in profits arising from the ordinary and usual vagaries of business.

It is not however necessary to prove that the partnership has reached the equivalent of an insolvent company in the sense that it is unable to pay its debts. What requires to be proven is that in the circumstances, business of the partnership can only be carried on at a loss and that there is no chance or prospect of recovery.

(f) whenever in any case circumstances have arisen which, in the opinion of the court, render it just and equitable that the partnership be dissolved.

This is a very broad ground and leaves it to the court to determine whether it is just and equitable that a partnership should be dissolved. Like any equitable remedy, the partner seeking to dissolve a partnership on this ground should have “clean hands” ie not guilty of misconduct.

8.5 Rights and Obligations of Partners at Dissolution

There are various ways of dealing with partnership property at dissolution including paying creditors and dividing the residue amongst the partners. The partners may by agreement vary their rights and obligations to creditors e.g see **Munn v Scalera** but they cannot by agreement amongst themselves without involving creditors, limit or restrict the rights of creditors.

a) Notification of

Dissolution Section 39 of the

Partnership Act

On the dissolution of a partnership or retirement of a partner, any partner may publicly notify the dissolution or retirement of that partner, and may require the other partner or partners to concur for that purpose in all necessary or proper acts, if any, which cannot be done without his or her or their concurrence.

b) Continued authority of partners for purposes of

winding up Section 40 of the Partnership Act

(1) After the dissolution of a partnership, the authority for each partner to bind the firm

and the other rights and obligations of the partners continue notwithstanding the dissolution, so far as may be necessary to wind up the affairs of the partnership, and to complete transactions begun but unfinished at the time of

the dissolution, but not otherwise.

(2) Notwithstanding subsection (1), the firm is in no case bound by the acts of a partner who has become bankrupt; but this section does not affect the liability of any person who has, after the bankruptcy, represented himself or herself or knowingly suffered himself or herself to be represented as a partner of the bankrupt.



See *Re Bourne (1906) 2 CH. D 427*.

c) Partnership property at dissolution

i) Rights of partners as to application of partnership

property Section 41 of the Partnership Act

On the dissolution of a partnership, every partner is entitled, as against the other partners

in the firm and all persons claiming through them in respect of their interests as partners—

(a) to have the property of the partnership applied in payment of the debts and liabilities of the firm, and to have the surplus assets after such payment, applied in payment of what may be due to the partners respectively after deducting what may be due from them as partners to the firm; and

(b) for the purposes of paragraph (a) any partner or his or her representatives may, on the termination of the partnership, apply to the court to wind up the business and affairs of the firm.

ii) Rights where partnership is dissolved for fraud or

misrepresentation Section 43 of the Partnership Act

Where a partnership contract is rescinded on the ground of the fraud or misrepresentation of one of the parties to it, the party entitled to rescind is, without prejudice to any other right, entitled—

(a) to a lien on, or right of retention of, the surplus of the partnership assets, after satisfying the partnership liabilities, for any sum of money he or she paid for the purchase of a share in the partnership and for any capital he or she contributed;

(b) to stand in the name of the creditors of the firm for any payments he or she made in respect of the partnership liabilities; and

(c) to be indemnified by the person guilty of the fraud or making the representation, against all the debts and liabilities of the firm.

iii) Rights of outgoing partner to share in

profits Section 43 of the Partnership Act

(1) Where a partner has died or ceased to be a partner and the surviving or

continuing partners carry on the business of the firm with the firm's capital or assets without any final settlement of accounts as between the firm and the outgoing partner or his or her estate, then, in the absence of any agreement to the contrary the outgoing partner or his or her estate is entitled, at the partner's option or that of his or her representatives—

- (a) to a share of the profits made since the dissolution as the court may find to be attributable to the use of his or her share of the partnership assets; and
- (b) to interest at the prevailing treasury bill rate.



(2) Notwithstanding subsection (1), where the partnership contract gives an option to surviving or continuing partners to purchase the interest of a deceased or outgoing partner and that option is duly exercised, the estate of the deceased partner or outgoing partner or his or her estate is not entitled to any other share of the profits.

(3) Where a partner purporting to act in exercise of the option given under subsection (2) does not in all material respects comply with its terms, he or she is liable to account as provided in this section.

iv) Retiring or deceased partner's share to be

a debt Section 45 of the Partnership Act

Subject to any agreement between the parties, the amount due from continuing or surviving partners to an outgoing partner or the representatives of a deceased partner in respect of the outgoing or deceased partner's share is a debt accruing at the date of the dissolution or death.

v) Rules for distribution of partnership assets on final settlement of

accounts Section 46 of the Partnership Act

In settling accounts between or among the partners after dissolution of a partnership, the following rules shall, subject to any agreement, be observed—

(a) losses, including losses and deficiencies of capital shall be paid, first out of profits, next out of capital, and lastly, if necessary, by the partners individually in the proportion in which they were entitled to share profits;

(b) the assets of the firm, including the sums, if any, contributed by the partners to make up losses or deficiencies of capital, shall be applied in the following manner and order—

(i) in paying the debts and liabilities of the firm to persons who are not partners in it;

(ii) in paying to each partner, rateably, what is due from the firm to the partner for advances as distinguished from capital;

(iii) in paying to each partner, rateably, what is due from the firm to the partner in respect of capital;

(iv) the ultimate residue, if any, shall be divided among the partners in the proportion in which profits are divisible.